REGISTERED NUMBER: 02103564

MATALAN RETAIL LIMITED

ANNUAL REPORT AND FINANCIAL STATEMENTS

FOR THE 53 WEEKS ENDED 28 FEBRUARY 2026

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MATALAN RETAIL LIMITED

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MATALAN RETAIL LIMITED

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MATALAN RETAIL LIMITED

STRATEGIC REPORT FOR THE 53 WEEKS ENDED 28 FEBRUARY 2026

The directors present their annual strategic report and the audited financial statements for the 53 weeks ended 28 February 2026.

Overview

The 53 weeks to 28 February 2026 represented a challenging trading environment for the Matalan business and the wider retail sector. Consumer demand remained severely subdued throughout the period with high levels of inflation and high interest rates putting pressure on customers' disposable income and levels of discretionary spend.

The Company achieved Earnings before interest, tax, depreciation and amortisation ("EBITDA") before exceptional items of £156.5m (2025: £146.3m). See note 8 to the financial statements for EBITDA reconciliation to the statutory results. The Company achieved pre-IFRS 16 EBITDA before exceptional items of £66.5m (2025: £53.7m). See note 8 to the financial statements for reconciliation of pre-IFRS 16 EBITDA before exceptional items to the statutory results. It should be noted that as the Company operates a retail reporting calendar, the year to 28 February 2026 incorporates 53 weeks compared to 52 weeks in the prior year. The overall effect of this is to increase both sales and expenses. Consequently the business review below compares a 53 week year in the financial period ended 28 February 2026 to a 52 week year in the financial period ended 22 February 2025.

Strategic Sales Process

Matalan Retail Limited is the key trading entity of the Matalan Group and accounts for 100% of the Group's retail revenue, ecommerce transactions and international sales. As a member of the Matalan Group, it serves as a joint guarantor of the Group's Super Senior, New Priority and Senior Secured bond indentures.

In December 2022, Maryland Holdco Limited, was incorporated in order to effect the acquisition of Matalan Finance plc and its subsidiary undertakings, by an ad-hoc group of bondholders, headed up by the Group's four largest note holders. This acquisition was completed on 26 January 2023.

The trading subsidiary of Matalan Finance Plc, the Company, was unimpacted by the transaction, with its UK stores, International franchise stores and online business continuing to trade, and our colleagues and supplier relationships continuing as usual.

Business review

Revenue for the 53 weeks ended 28 February 2026 was £986.5m (2025: £984.6m). The year-on-year increase being driven by the additional trading week and strong online growth, offset by a slight reduction in store sales despite a strong improvement in trading performance from our refreshed store estate. Despite the additional trading week, the Group's International franchise business saw a year-on-year sales decline as a number of key franchise partners in the Middle East and Mediterranean coast were negatively impacted by the challenging macro-economic conditions and regional political instability

Gross profit was for the 53 weeks ended 28 February 2026 was £124.3m, including £3.6m of exceptional costs (2025: £100.9m, including £6.6m of exceptional costs). This was delivered through significant savings made in the bought-in price of goods sold and a marked focus on profitability. The gross margin improvement also benefitted from savings in our contractual freight rates, and favourable gains achieved on our foreign exchange hedges, which more than offset the investment made in the year in discounting to drive footfall in a highly competitive and promotional market.

The £3.6m of exceptional costs (2025: £6.6m) included within cost of sales relate to store impairments split across the right-of-use-assets, tangible fixed assets and intangible fixed assets on a number of stores which are either ear-marked for closure or where trading performance is insufficient to justify the carrying value of their assets. Please refer to note 28 for further details.

Business review (continued)

Administrative expenses, before exceptional items, were £71.2m (2025: £68.2m). Administrative expenses, including exceptional items, were £76.9m (2025: £70.4m). The year-on-year increase is primarily driven by higher payroll costs in FY26, due to an additional week of pay and following increases to employer National Insurance Contributions and the National Living Wage, as well as investments made by the business in our colleagues and structural investments made to help deliver the strategy and drive the business forward. Offsetting these inflationary and regulatory cost increases, the business managed to deliver efficiencies across its distribution centres through its investment in automation and across its store estate through the introduction of standardisation of processes through its 'One Best Way' initiative.

Exceptional administrative expenses of £5.7m were charged to the income statement in the 53 weeks ended 28 February 2026 (2025: £2.2m). The exceptional administrative costs include a number of restructuring costs, linked to the Organisation Redesign programme, along with the expensing of implementation costs related to the ongoing transition of our Warehouse Management System to a SaaS operating model with the business also incurring dual running costs in the year in relation to this project to ensure full business continuity. Please refer to note 28 for further details.

Operating profit, before exceptional items, was £56.7m (2025: £39.3m). Operating profit including exceptional items was £47.4.0m (2025: £30.5m).

Pre-IFRS 16 EBITDA before exceptional items for the 53 weeks ended 28 February 2026 was £66.5m (2025: £53.7m), see note 8 to the financial statements for a reconciliation to the statutory results.

Net finance costs (including exceptional items) were £83.7m (2025: £75.9m), including £45.0m (2025: £40.9m) of interest costs incurred by other group entities to service the loan notes issued to finance the business, which are recharged to Matalan Retail Limited as the principal trading entity of the Group. Refer to note 5 to the financial statements for more details.

Exceptional finance costs of £1.1m were incurred in the 53 weeks ended 28 February 2026 (2025: £nil) representing the professional & transactional fees payable in relation to the £25.0m Super Senior loan note issuance in April 2025.

The statutory loss after tax was £28.2m (2025: £39.5m).

FY26 comprised of 53 weeks, compared to 52 weeks in the prior year. The additional trading week contributed £15.6m revenue, £2.0m gross profit and £(0.4)m pre-IFRS 16 EBITDA before exceptional items during the year. On a like-for-like basis, revenue was £970.9m (2025: £984.6m), gross profit was £122.3m (2025: £100.9m) and pre-IFRS 16 EBITDA before exceptional items was £66.9m (2025: £53.7m).

Additions to property, plant and equipment of £34.9m (2025: £15.0m) and intangible assets of £11.4m (2025: £5.1m), during the period include significant capital expenditure on our retail estate including investment in our store refresh programme & store relocations, as well as investment in our supply chain infrastructure and automation at our Knowsley Distribution Centre, and significant spend on our IT technology and systems including the upgrading of our store EPOS system, and preliminary work on our warehouse management and stock replenishment systems.

The total cash and cash equivalents balance as at 28 February 2026 was £76.4m (2025: £85.9m). The £9.5m net decrease in cash and cash equivalents during the financial period primarily relates to the significant capital investment made to support the delivery of the 5-year strategic plan offset by the net £25.0m increase in the loans received from group undertakings.

STRATEGIC REPORT (CONTINUED)

Statement by the directors in performance of their statutory duties in accordance with s172(1) Companies Act 2006

The board of directors of Matalan Retail Limited consider, both individually and together, that they have acted in the way they consider, in good faith, would be most likely to promote the success of the Company for the benefit of its members as a whole (having regard to the stakeholders and matters set out in s172(1)(a-f) of the Act) in the decisions taken during the 53 weeks ended 28 February 2026.

The Board has a diverse set of skills, knowledge and experience which assists in making informed decisions promoting the long-term success of the Company whilst considering the needs of our stakeholders, including shareholders, bondholders, colleagues, customers and suppliers.

The Board is made up of both executive and non-executive directors, with the non-executive directors providing a robust level of insight and challenge to the business. Appointments are therefore made on the basis of ensuring that the business has the right skills, retail insight and wider business experience within the Board.

The Board receives detailed papers and in-person updates from management, they query, challenge and debate, to ensure conflicting views are carefully considered.

All directors are expected to constructively challenge and contribute to discussions, as well as offer additional perspectives, advice and strategic guidance.

The Board is responsible for setting the strategic direction, values and culture of the Company. It sets the tone of how business is done through the Group and has embedded expectations that stakeholders' considerations are central to decision-making at all levels of the organisation.

In addition to the Board, the business has a separate Remuneration Committee to decide on employee rewards and benefits as well as an Audit Committee serviced by the Group's Internal Audit Function.

The core values of the business play an integral part in colleague engagement, with a drive to continue to invest in developing our people, offer great opportunities, and cement our credentials as an attractive employer to work for. Colleague feedback is actively sought and acted upon through listening groups and all-colleague surveys. These surveys are completed at least twice a year with colleague engagement actively monitored and action plans implemented to respond to the key survey findings. The business also invests in its people through the promotion of equality and diversity, mindfulness, and wellbeing.

Supplier relationships are a key focus of the business reflected within its long-standing strategic partnerships with the core supply base. The business prides itself on its transparency and integrity in its supplier relationships centred around regular engagement with our supply base including the hosting of an annual supplier conference.

The business also focuses on its social and environmental responsibilities through ESG representation and focus at board level. We are actively developing our ESG credentials with a focus on responsible and sustainable manufacture. We are aligning our goals with the recognised strategic framework provided by the UN Social Development Goals. Whilst already in a strong position on Scope 1 and Scope 2 emissions reporting, we have been working with external experts to enable the accurate reporting of our Scope 3 emissions. We are also working towards embedding effective science-based targets to enable a greater focus on our net zero goals.

The board also takes its responsibility to its local and wider communities seriously through active partnering with both local and national charities.

Development and performance of the business

Strategic Overview

Matalan's ambition is to be the leading destination for everyday style, quality and value for her and her loved ones. Our refined FY27 strategic framework sharpens the proposition, strengthens execution and builds the foundations for sustainable, profitable growth across channels and markets. Over the past 12 months, we have strengthened leadership and aligned the business behind a clearer long-term direction, improving pace, focus and delivery discipline.

During the year, we completed a strategic review informed by a clearer view of our customer, proposition, routes to market and critical capabilities. This work sharpened our FY27 priorities while ensuring we continue to build the capabilities required to support growth through FY28 and FY29.

The review has now been embedded into our multi-year strategic plan, creating a clearer link between ambition, financial objectives and execution. It provides a more coherent framework for prioritisation, investment and delivery, and supports the next phase of transformation.

Our strategy is focused on serving customers more effectively by combining everyday style, quality and value with a stronger, more connected operating model. We are building a business that is clearer in proposition, more responsive to customer needs and better positioned to grow across digital, physical and international channels.

We will deliver this through a focused set of strategic priorities that strengthen the proposition, expand reach and improve execution:

- Strengthening our **Customer** offer through brand, loyalty and more relevant communications
- Expanding our **Reach** across stores, digital and new markets
- Elevating our **Product** proposition to become the destination for everyday style, quality and value
- Investing in our **People and Ways of Working** to improve accountability, pace and execution
- Building the **Technology, Data and Supply Chain Foundations** required to support long-term growth

These priorities are organised through four strategic pillars:

- Growing our **Customer** engagement through loyalty, brand and CRM acceleration
- Extending our **Reach** through digital acceleration, unified commerce, property and international growth
- Improving our **Product** through retail growth, stock optimisation and stronger range construction
- Embedding stronger **People, Talent and Culture** to support delivery and performance

These four pillars are supported by the development of a set of key enabling capabilities:

- Strengthening our **Enablers** through technology, supply chain, data, sourcing and sustainability

Our strategy is being delivered in phases, moving from reset to build and then growth. Having stabilised the business and strengthened core capabilities, we are now focused on the FY27 priorities that will build momentum and improve confidence in delivery.

Highlights of our Reset phase to date

Customer

Reconnecting with our customers
Our reset phase has focused on rebuilding relevance with the customer. We clarified our brand purpose, strengthened customer insight and improved the quality of our marketing execution so that activity is more targeted, more consistent and more effective in driving consideration and footfall.

We also strengthened customer choice and convenience through more flexible payment options and a more responsive digital proposition. These changes have improved conversion and supported a more accessible shopping journey online.

At the same time, we introduced stronger feedback loops through our customer experience programme and increased the use of loyalty data to improve decision-making. This gives us a clearer, more direct view of what matters most to customers and where we need to act.

Product

Reinvigorating our proposition and re-engineering our value
Within Product, the reset phase has focused on restoring clarity in the proposition and improving the economics of value. We have taken action to improve opening price points, protect availability on core lines and increase confidence in quality and margin.

We also increased speed and flexibility by working more closely with selected supplier partners, enabling broader online choice and faster reaction to demand. This supports a more responsive offer while complementing the core range.

During FY26, we reorganised our trading, sourcing, marketing and e-commerce teams under our new Chief Product, Brand & Commercial Officer, Sarah Welsh, to create a more joined up and cohesive trading strategy. This unified approach to trade allows us to deliver new season launches earlier, bolder and with more conviction. This new approach has been tailored around a true focus on our customer and a greater understanding of our customer's needs and desires.

Our product strategy is centred on 'Everyday style, quality and value' with an emphasis on style. The business has been working hard to refine our style credentials with a more confident product, greater range clarity, and a clearer design handwriting.

As part of our product evolution, we have identified areas where we can gain share in the market with a focus on both power categories, where we believe we can offer best in class products, and differentiator categories, where we are recognised and loved by our customers. We have also placed a renewed focus on our largest division, womenswear, as a true growth opportunity for the business. Through a focus on a stronger product identity and clearer outfit co-ordination our aim is to deliver quality our female customer can trust, availability she can rely on and value she can see.

Outside of our own brand offering, we continue to offer new fashion brands online through our Dropship offering and in 2025 rolled a number of these brands out into store. The greater choice and responsiveness to trends for customers across each of our divisions continues to deliver good participation, but our approach to new partnerships remains measured, with consideration of new brands based on their product being complementary to our own brand offering and delivering true incrementality.

Highlights of our Reset phase to date (continued)

Enhancing our efficiency
Providing great value to customers requires an efficient operating engine, and we have put considerable effort into our supply chain processes. We have worked with suppliers to streamline our packaging operations, increasing efficiency and simplicity for our logistics activities whilst reducing cost. We have also increased our resilience by moving to a dual provider model on shipping, providing flexibility in a world affected significantly by geo-political events and their impact on sourcing and shipping routes. We have adopted a similar route in our local shipping provision, ensuring our customers can get what they want, when they want it, with a market competitive 10pm order cut-off for next day delivery.

We continue to invest heavily in our Distribution Centres with a focus on delivering supply chain automation that both delivers efficiencies now but also future proofs our business. During the financial period, work began on our dynamic buffer, which will enable consolidation of popular products prior to order to deliver efficiency in packing and despatch. This project is due to go live during FY27.

The business has also been investing in preparatory work on an extension to our already successful OSR (Order Storage and Retrieval) System. The project will deliver an expansion to our automated storage system adding over 100,000 more storage locations and allowing for fully automated retail replenishment. This work will allow the business to meet future capacity needs and unlock a centralised stock model. Production is due to commence on the OSR extension in the second half of FY27 with a full go live expected during FY28.

Reach

Growing our presence and relevance
As an omnichannel retailer we are mindful of the need to keep expanding our reach across each of our routes to market, including our physical stores, our e-Commerce offering, and our international proposition. We have relocated our Beckton and Southampton stores both of which are performing ahead of expectations and we continue to manage a pipeline of future expansion opportunities.

In addition during FY26 we have completed 30 refreshes in our existing store estate. On average these stores have shown a sales performance 11% ahead of the rest of the estate and delivering attractive payback metrics. We are accelerating this programme in FY27 and plan to exceed the 30 stores completed in FY26.

Following a couple of years of contraction in our online sales, we have stabilised our digital platform and have continued to invest in our E-commerce proposition and online customer journey. This move has enabled us to start to differentiate our online shopping experiences and during FY26 we returned our online business into growth, delivering a 5% growth in online demand in the year. This growth has been delivered through the evolution of our marketing activity, with a focus on performance marketing enabling us to drive more traffic and improved conversion. We are also generating more consideration for Matalan through customer-centric marketing.

Highlights of our Reset phase to date (continued)

People and Planet

Investing in our colleagues, who demonstrate industry leading engagement
At Matalan we want to do the right things for both colleagues and customers. One of the immediate observations from our new Executive team was that we had a colleague population who, despite their significant loyalty, had not seen associated investments in pay. In particular, we needed to address pay for our under 21 population in retail stores, who showed a high level of turnover, and our historical maternity and paternity provision. These areas have been addressed and we've seen an associated reduction in colleague turnover, with voluntary labour rates now in line with target levels.

We have also been investing in our colleague rewards and recognition offering with the introduction of global pay benchmarking and improvements made to both our private medical and pension provision to ensure we are competitive in the market and are able to attract and retain the best talent. We have also undertaken a full organisational redesign across key areas of the business with key hires of top talent at both Director and Executive levels, and the appointment of our new CEO, Henrik Nordvall, who joined the business in February 2026. This organisational redesign and the introduction of a performance culture through the development of an OKR framework improves decision making and accountability, whilst enhancing capabilities.

We are also committed to providing our colleagues with forums where they can discuss their interests, passions and concerns in a supportive environment. We now have 4 vibrant colleague communities live in the business helping create an inclusive and equitable environment where every colleague feels respected, supported and empowered to thrive.

The above changes, plus the general progress across the business, has delivered industry leading internal engagement scores within our retail population. These teams, who are at the forefront of serving our customers, and comprise c.8k store colleagues in 222 stores spread across 8 geographical regions, showed a participation level of 84% and an engagement score of 81%.

We have also continued to sponsor and support some fantastic causes which resonate with our colleagues and customers. Our strategic partnerships with NSPCC and Alder Hey Children's Hospital have continued to show their relevance and enabled us to play a role in national causes which play a direct role in family life. We have also continued our partnership with The Kings Trust supporting the 'Change A Girl's Life' campaign. By raising funds for this campaign, our support is giving young women a working future through funding King's Trust opportunities such as training courses with potential employers, access to job opportunities, skills to start a business, support with practice interviews and grants to cover the costs associated with moving into work. Our support is ultimately helping young women build a better future for themselves and their wider communities. Over the last three years we have raised over £2.3m for these three great partners, and the roll-out of 'Pennies' across our store estate post year end will enable us to further help these charities in the future.

Beyond our business, we remain concerned about and committed to the need for more sustainable practices across the industry in order to promote the future health of our planet. During FY26, Matalan undertook a comprehensive review of its sustainability landscape in order to bring together all sustainability-related activity into a single, cohesive framework, providing a clear view of our current position and future opportunities. This work has enabled the development of a refreshed sustainability strategy aligned with Matalan's wider business strategy.

Highlights of our Reset phase to date (continued)

The new strategy provides a clear ambition and establishes a shared understanding of what sustainability means at Matalan. At the heart of the strategy is our ambition to make our impact across People and Planet a source of pride. To support this ambition, we have established two overarching goals: one focused on People and one focused on Planet. These goals provide a clear framework for our sustainability priorities and will guide the actions we take across the business.

We remain members of the Supplier Ethical Data Exchange (Sedex), and we remain signatories of Textile 2030 and the Ethical Trading Initiative (ETI) Base Code. During the year, we have also entered into partnership with Company Shop, the UK's largest redistributor of surplus goods.

Foundations

Establishing future-proofed foundations for growth
The nature of Matalan's historic growth has meant there have been aspects of foundational capability which we've recognised the need to address. As a result, we are working hard to overhaul our capabilities and systems in data & insight, technology and automation, with a number of transformational projects in flight in these areas.

We are investing in our underlying technology and IT systems including the upgrading of our entire store EPOS system, which is due to be fully rolled out in the first half of FY27. The new tills will provide far greater user interface and improved customer experience whilst also allowing us to roll out 'Pennies' as a way for our customers to easily make micro-donations to charity across our UK store estate,. We have also commenced preliminary work on our warehouse management and stock replenishment systems, which will provide greater efficiency and visibility of stock-flow through the business.

We continue to review our organisational design and culture to support our transformation journey and create a more sustainable business. The introduction of our 'One Best Way' initiative across our retail estate is helping to drive efficiency, clarity of message and consistency of service across our store estate in order to deliver continuous improvement. The learnings from this initiative have the potential to be transferrable with the ability to replicate some of the initiative's success across our Distribution Centres and Support Hub.

We have also seen successes from our focus on cost reduction and efficiency improvements, such as the value released through our GNFR review, our supply chain cost reduction and our warehouse and logistics operations simplification.

As we continue to deliver our 'reset' activity, we are also planning ahead to our 'build' and 'grow' phases.

Looking ahead to Build a Stronger Matalan

Customer

Relaunching our loyalty programme
In the next phase, we will build a more compelling and relevant customer proposition. This includes a more meaningful loyalty programme, stronger CRM capability and a clearer role for brand in driving consideration, retention and frequency.

Looking ahead to Build a Stronger Matalan (continued)

Through our new brand proposition, we will also increase our proximity to and relevance with customers. We will continue to grow awareness in the market with our affiliate partners and our media activity, whilst increasing the value we can bring to our target markets.

We have already refocussed our marketing campaigns towards our core female customer, with our successful Denim campaign in Autumn and our more recent Spring product launch campaign. This will be further developed as we move into the Autumn season FY27.

Product

Continuing to modernise our proposition
FY26 has seen Matalan continue to iterate and develop our product offering, providing customers with a greater level of value, style, and choice. We will continue to refine ranges whilst protecting our diversity of sizing and fit, reflecting the needs of our fashion focussed and value conscious customers. We will be investing in our core product set, whilst dialling up our difference for occasion wear, our trend and seasonal ranges, and incorporating an ever more popular set of licensed and branded products, both in store and online.

We will also seek to move from a needs-based customer purchasing intent to a desire-based intent through our focus on everyday style and our greater understanding of our customers. This will allow us to increase frequency of spend and average basket value amongst our core customers whilst winning new customers and reengaging lapsed customers through improvements in our product, brand and customer experience. Our focus on this core female customer, and the improvements made to the style credentials of our womenswear is delivering and showing our strategy is working, with the market data for Q1 FY27 showing we are growing market share in both value and volume with our womenswear growth leading the way. We are not taking this for granted as we continue to invest in improvements in product handwriting and our visual merchandising.

We also recognise continued strong performance in several of our differentiator ranges and intend to maximise our potential in this. We have always been known for our holiday shop and intend to develop this further, whilst also building on our success in sports and athleisure through our Souluxe range. As a family destination, we also continue to recognise an opportunity in school wear and will be enhancing our year-round availability.

Reach

Providing greater choice and reasons to visit for our customers
Our reach agenda is focused on making Matalan easier to shop, easier to discover and more relevant across channels and markets. We will invest in digital acceleration, advance unified commerce, improve the productivity of the estate and test opportunities in international and new markets.

We have seen success in our format, space and merchandising plans, and recognise the need to continue to update our physical locations following a history of underinvestment. We will continue to undertake our diligence in managing store leases, whilst proactively using new analytical capabilities to determine the right exit/entry points for our future estate, and managing a refresh and new store opening pipeline geared for growth.

Looking ahead to Build a Stronger Matalan (continued)

The investment from our anchor investors has allowed the business to realise the potential inherent in its store estate by enabling a focus on modernising store layouts, improving customer experience and expanding our national footprint. The new funding enabled the business to deliver 30 store refreshes in FY26, and the success of this programme has led us to further accelerate this programme in FY27 with 40 store refreshes currently planned for the year including 14 of our traditionally best performing stores. We are also at the beginning of an ambitious store opening programme across the UK over the next 5 years, with a strong pipeline of potential stores. We are planning at least 10 new or relocated stores during FY27, with more stores in advanced negotiations.

Our focus is not just on store expansion, with many of our top-performing sites in the best locations highly desirable to the market meaning that it is essential that the business has a robust property strategy in place to ensure the retention of its best sites, and we are working both internally and with our core investors on strategies to protect our strongest performing stores in our retail portfolio.

In addition, we are also investing in our digital and e-commerce capabilities. In March 2026, we re-platformed our website to THG Altitude, a faster, more secure and easier to use web platform. We are also in the advanced stages of launching a new fully native app, which will enable the delivery of an enhanced user experience, including the ability to fully personalise the customer digital experience whilst also injecting speed and agility into the development cycle.

We also intend to explore further the opportunities offered by technology in improving our omnichannel experience, increasing the efficiency of operations in our stores and warehousing, and reducing the friction within our service journeys. We recognise there is work to do in knitting together our channels in order to deliver seamless integration and a holistic customer experience, complemented with a full view of our customer driven by our loyalty platform. Each of these priorities will be addressed in a multi-year transformation programme.

People & Planet

Building on early success to assure a bright future
Our people and sustainability agenda remains critical to delivery. We are building a more connected, confident organisation with clearer expectations, stronger leadership and more consistent ways of working, alongside a more credible, data-led sustainability roadmap.

During FY25, we introduced a new colleague reward platform, establishing a range of new specialist capabilities to support our future growth, and have invested in our leadership development.

During FY26, we have also been working to revise our purpose, vision, values and behaviours to better reflect our business strategy and to better embed a performance culture within the business. Our internal values ('Think Family', 'Think Customer', 'Be Real' and 'Be the Best'), have served the business well for many years, but we need to ensure our values better reflect our purpose and vision and so during FY27 we will be announcing a new set of values and behaviours. These will encourage a far greater focus on our customer, whilst creating a culture where everyone plays their part in the success of the business, consistently brings their energy and passion, and achieves with accountability and courage. We will also continue to invest in our organisational design and further refine the OKR framework to ensure delivery is measurable and fully aligned to our strategic plan and ambitions

Looking ahead to Build a Stronger Matalan (continued)

In order to further develop the progress we have made in our ESG and sustainability activity, we will continue to invest in our capability in FY27. While significant sustainability activity is already underway across the business, the introduction of a sustainability strategy represents a crucial step in bringing these initiatives together under a unified strategy. Looking ahead, we are planning to produce our first ever Sustainability Report in FY27. Designed with colleagues in mind, the report will establish a baseline for our sustainability journey, celebrate the progress made to date, and outline our priorities, ambitions and next steps for the future.

Foundations

Continuing to modernise our operations
Delivering our ambitions requires stronger enabling capabilities across technology, supply chain and data. We are modernising critical systems, improving supply chain resilience and building more trusted, actionable data to support faster, better-informed decisions and unlock the value of our strategic priorities.

FY27 Priorities

Our FY27 priorities are focused on the initiatives most critical to strengthening delivery and creating the platform for sustainable growth. They span customer, reach, product and enabling capabilities, with the aim of improving both in-year performance and future readiness.

Customer – We will prioritise loyalty, brand and CRM acceleration to improve consideration, retention, frequency and contactability, building a more relevant and rewarding customer proposition.

Reach – Our priorities are digital acceleration, unified commerce, property and international growth to attract more customers, improve channel productivity and broaden our route to market.

Product – Our priorities are retail growth, stock optimisation and stronger range construction and handwriting to improve availability, sharpen the offer and reinforce Matalan's position in everyday style, quality and value.

Enablers – Our enabling priorities are people, talent and culture, alongside technology, supply chain, data, sourcing and sustainability, providing the capability, resilience and governance needed to support delivery and future growth.

Principal risks and uncertainties

The responsibility for monitoring financial risk management and treasury responsibilities and procedures lie with the board of directors. The policies set by the board of directors are implemented by the Group's finance department. The Group Audit Committee is responsible for providing sufficient levels of risk oversight whilst also helping set the tone for the wider business around integrity, legal and regulatory compliance and brand reputation.

The risks below are the principal risks that may impact the Group in achieving its strategic objectives.

Black Swan Events – in recent years, the UK economy and the wider world economies have been hit by a number of 'Black Swan Events'. Black Swan Events are rare, unpredictable and extremely impactful events such as the COVID-19 pandemic, the war in Ukraine and the conflict in the Middle East.

Matalan's trading activities were negatively impacted by all of these events and their detrimental impact on both the worldwide economy and international logistics. However, the business has to date been able to successfully trade through all of these challenges.

Nevertheless, the emergence of a new strain of the COVID-19 disease, another potential worldwide pandemic, international conflict or a different form of catastrophic 'Black Swan Event' could potentially cause risks to materialise or come closer to materialising in any of the following risk areas:

Economic Conditions – the Group operates in a highly competitive industry. The outlook for the UK and global economy, consumer confidence and spending patterns may impact our ability to deliver growth. This is extremely pertinent now with the impacts of the inflationary spikes seen across much of the world, including the UK, continuing to put pressure on the cost of living. This is further compounded by the economic and political instability caused by the continued war in Ukraine and the conflicts in the Middle East.

Events over the past year have also clearly demonstrated the significant negative impact disruption to international trade can have on the UK, with the threat of the introduction of onerous trade tariffs and restrictions on the worldwide oil supply having serious impacts on the UK economy.

The board of directors reviews performance and ensures that management is focussed on key priorities and cost control to mitigate this risk.

Strategy – during FY25, management developed a detailed 5-year strategy to enable the business to accelerate its turn-around and to realise its growth potential through a focus on product improvements, refreshing and growing the Group retail estate, enhancing our E-commerce & loyalty offerings, developing our commercial partnerships and reinvigorating our international business. FY26 represented the first full year of implementation of this long-term strategic vision.

Failure to ensure that this strategy remains fit for purpose could erode the profitability of the business and its long-term viability by either failing to respond adequately to changing consumer habits or by investing resources in activities that do not provide intended return on investment.

The 5-year strategy was developed in collaboration with subject matter experts across the business with inputs and insights from all key internal and external stakeholders. The strategy was approved by the board of directors with responsibility for its delivery delegated to the Executive team.

Principal risks and uncertainties (continued)

Strategy (continued) – all key strategic initiatives are assessed through an Objectives & Key Results (OKR) framework to ensure their alignment with the wider strategy and their level of impact on strategic delivery. The strategy is regularly reviewed to ensure that changes in the retail environment and consumer behaviour are appropriately reflected in the plan and all key capital investments linked to the strategy are regularly assessed for their return on investment.

Brand & Reputation – failure to meet our customer and/or stakeholder expectations impacts the Matalan brand, customer loyalty and market share. This could derive from a failure to meet our own standard on quality, delivery or ethical trading.

The Group has an ethical sourcing policy and works closely with customers, performing frequent surveys and feedback sessions, to understand how to best meet their needs. Over the last two years, the Group has developed its reporting around ESG, driven by the evolution of the business's ESG Working Squad which reports directly to the ESG Executive Steering Committee, whose standing membership includes Executive team representation covering all areas of the business. ESG is also embedded in the governance of the Group through its inclusion on the board of directors' agenda at key times across the year.

Linked to this work, during FY26 Matalan undertook a comprehensive review of its sustainability landscape under the leadership of its new Head of Sustainability. The purpose of this review was to bring together all sustainability-related activity into a single, cohesive framework, providing a clear view of our current position and future opportunities. This work has enabled the development of a refreshed sustainability strategy that is aligned with Matalan's wider business strategy and long-term ambition.

This evolution is planned to continue as the Group works to improve its transparency and reporting on ESG. The Group has also been investing in improving its product quality and we are developing better communication and messaging around our quality offering to enhance customer awareness.

Competition – the UK retail sector is a highly competitive marketplace. Aggressive pricing and promotional activity from our competitors could cause a reduction in revenues and margin, whilst the introduction of new disruptor entrants particularly into the highly competitive online market could put pressure on market share. This risk could be further heightened as restrictions in some worldwide markets could result in an influx of low-cost goods into the UK market.

In response to this, we actively seek to deliver on our core and distinct brand proposition to our customer focussed on family value through competitive pricing, and through the quality of our range, choice, style and service. The executive team actively seek to refine this proposition through feedback from our customers via our customer experience programme, and by regularly reviewing market data, to identify changes in competitor behaviour, pricing and new retail trends.

Property – over 80% of total group revenue is delivered by Matalan's UK store estate, consequently the strength of the Matalan retail portfolio is key to the long-term performance of the group. The maintenance, retention and expansion of this store estate is therefore essential to the delivery of the business strategy.

The refresh programme delivered in FY26 has evidenced the importance of investing in the store estate with those stores that have undergone a refit markedly outperforming the wider retail estate.

Retail space at the best locations remains highly desirable meaning that it is essential that the business has a robust property strategy in place to ensure the retention of its best sites and a highly developed pipeline of potential new sites to ensure sufficient new store openings to deliver the Group strategy.

Principal risks and uncertainties (continued)

Property (continued) – the business has dedicated resource to deliver its annual refresh programme of up to 40 store refits per year, to identify potential new sites and to successfully deliver its new store opening programme. Appraisal of new sites includes assessment of its proximity to target demographics, distance from existing Matalan stores, level of existing and potential future competition, as well as the commerciality of the lease terms.

Suppliers or Third Parties – failure of a key supplier or third-party would impact the service that the Group can provide to its customers. With the current risk of severe disruptions and restrictions on worldwide trade, this further exacerbates this risk for many of our key supplier countries. Sustained supplier cost price increases as a result of rising raw material costs, labour costs, transport costs and tariffs would place pressure on margins.

The Group manages its exposure by working closely with its suppliers and third parties to ensure it can offer the best value to its customers. The Group monitors the stability of its supply base closely and works with suppliers and third parties to identify any issues on a timely basis.

Supply Chain – operational issues within the supply chain would impact the service that the Group can provide to its customers. The unrest in the Middle East and the attacks on commercial shipping in the Red Sea led to freight carriers diverting their shipping routes to detour around the Cape of Good Hope. This increased transit times by up to two weeks, and our trading teams were required to take action in adjusting the timing of intake to mitigate these delays.

Whilst Matalan has been able to successfully mitigate these impacts, the recent clashes in the Strait of Hormuz has further exacerbated international shipping disruption, led to further increases in international freight costs, and put potential pressure on the supply of marine fuel.

The Group manages its exposure by having an experienced management team, monitoring performance of all aspects of the supply chain and working in line with industry best practice. We have diversified our shipping suppliers to mitigate our reliance on a single carrier and we have also seen improvements within the shipping sector from the introduction of new efficiencies and shipping models. Our supply chain is designed to deliver both resilience and flexibility to respond to these ongoing challenges.

Change & Transformation – the scale and complexity of Change and Transformation required to deliver our strategy could result in a failure to successfully implement these changes. This could lead to unanticipated costs, divert significant management attention and resources, and potentially lead to reputational damage, whilst at the same time meaning we don't deliver the anticipated benefits.

The business has introduced a robust project governance framework to mitigate project risk, with all project funding assessed and approved through the Executive led Investment Review Group. Where projects involve key business critical systems and processes, mitigations are built into the transformation plan to ensure business continuity.

Cyber-security – the risk of a security breach or disruption, particularly through cyber-attack or cyber intrusion, including by computer hackers, unfriendly foreign powers and cyber terrorists has risen as the number, intensity and sophistication of attacks have significantly increased. Any hacker attack, virus, data theft or similar threats against the Matalan Group and our IT systems could have a material adverse effect on the business, financial security and operational activities.

Principal risks and uncertainties (continued)

Cyber-security (continued) – on the back of recent high-profile cyber-attacks, the business has been developing its Cyber Security Response Plans, in part through the establishment of a Crisis Management Team. The business has cyber insurance in place and has implemented a number of precautionary measures to protect our systems and data in response to recent updates to advice from government bodies, security agencies and cyber experts.

Data Security – the risk of loss or corruption of key data could have a material adverse effect on the reputation, financial condition and operational effectiveness of the business. Inadequate data governance and data security could result in regulatory non-compliance, reputational damage, failure to comply with data protection law, impaired decision making or erosion of customer trust.

The Group has a Data Protection Policy in place alongside a range of controls and processes for data protection and data privacy including colleague training. The Group is also taking action to strengthen data governance, led by its Head of Data Science and Analytics, and following advances in AI has developed and communicated a new Artificial Intelligence Usage Policy.

Liquidity Risk – any impact on available cash and liquidity could have a material effect on the business and its result.

The Group actively maintains a mixture of debt finance, which is designed to ensure that the Group has access to sufficient available funds for ongoing working capital needs as well as planned capital investment and expansion. The amount of debt finance required is monitored and reviewed at least annually by the board of directors.

Matalan successfully recapitalised its business during FY23 with the issuance of new debt notes, all of which have maturity dates which have recently been extended to April 2029 and beyond. During the financial year, the Group successfully negotiated an additional £25m of Super Senior Note funding from its investor group, to enable the delivery of the Group's strategic aims and to enable the associated capital investment required to fast-track our growth plans. This funding was drawn in full in April 2025.

Linked to this new funding, and to enable access to further funding to deliver the capital investment plan outlined in the Matalan 5-Year Strategy, the Group additionally negotiated a change to its loan note indentures to increase the level of the pre-approved permitted debt basket capacity up to £60m. This allows for a further £35m of funding to be sourced on top of the £25m of already drawn new funding.

Given the successful implementation of the strategy to date and the evidenced return on investment delivered by this capital programme, in February 2026 the Group successfully negotiated with its key core investor group the ability to access additional funding to further accelerate the delivery of the strategic plan.

The core investor group have committed to acquire a further £25m of Super Senior loan notes in Spring 2026 to provide extra funding for the group to support the capital investment plans for the business and to provide working capital support to enable the accelerated intake of seasonal stock to deliver earlier and bolder new season launches. Given the short-term seasonal cash low points for the business, the negotiated structure allows for the funding to be drawn to cover the seasonal low-point, with an option for the early repayment of this funding. Further details regarding these recapitalisation exercises and the Group debt structure are included in note 2.3.

Principal risks and uncertainties (continued)

Foreign Exchange Risk – the Group is exposed to risk of fluctuating foreign exchange rates as a result of its overseas purchases. The principal currency with which this exposure lies is US dollar.

The exchange rates between the US dollar and other world currencies have fluctuated significantly in recent years and may continue to do so in the future.

The Group uses forward foreign exchange contracts in order to manage its exposure to foreign exchange risk and wherever possible these are hedge accounted under IFRS 9. The Group has a treasury policy in place which limits how much can be purchased on a rolling 30-month basis. In accordance with this policy, the Group does not hold or issue derivative financial instruments for speculative or trading purposes.

Interest Rate Risk – fluctuating interest rates could have an impact on cash flows and profit.

Following the successful recapitalisation exercise in FY23, the majority of the Group's long-term interest-bearing debt liabilities are subject to fixed rates of interest. This fixed rate debt structure significantly mitigates the interest rate risk faced by the Group.

Nevertheless, the £75m New Priority Notes issued as part of the recapitalisation exercise are exposed to variable rates of interest with the interest rate tied to SONIA. As a result, the Group is actively monitoring changes in interest rates and will seek to hedge this interest rate exposure if required.

Commodity Risk – as the Group's principal activity is the purchase and sale of clothes, it is exposed to a cost base which is heavily influenced by the market price of cotton, as well as the price of other key raw materials used in the manufacture of clothing.

The Group monitors trends in the cotton market to manage this risk and, by agreeing purchase contracts with suppliers six to nine months in advance, provides a degree of advance knowledge of the cost base.

Labour Risk –in order to deliver the Group's strategic ambitions, the business needs to be able to attract and retain people with the necessary skills, expertise and experience.

In order to do so the business has been investing in its colleagues through improvements in its reward and recognition offering. This investment in its people has been delivering tangible results with the business delivering market leading internal engagement scores, voluntary labour turnover rates now at target levels and a strengthening of the Matalan employer brand as evidenced by our Glassdoor scores.

Increased costs of employment as a result of key regulatory changes to employment laws such as increases in National Minimum Wage, the recent changes to National Insurance Contributions and the new Employment Rights Bill could put pressure on Group profitability.

Whilst the business continues to invest in its people, the business is also working hard to deliver efficiency savings in order to enable the business to absorb and mitigate the significant rise in employment costs.

Brexit – as in previous years, the impact of Brexit on the Matalan Group is limited.

During FY26 over 98% of Group revenue was generated in the UK, with most of our International sales realised in countries outside of the EU. The vast majority of our supply base are located in non-EU Countries, with whom the trading terms and tariffs are substantively unchanged as a result of Brexit.

Non- Financial and Sustainability Information Statement

UK Climate Related Financial Disclosures

Effective for periods commencing on or after 6 April 2022, 'The Companies (Strategic Report) (Climate-related Financial Disclosure) Regulations 2022' have been introduced in the UK to report on material climate-related matters.

For the financial period ended 28 February 2026, Matalan Retail Limited meets the relevant reporting threshold of having more than 500 employees and a turnover of more than £500 million. In accordance with the regulations, the business has therefore set out below how consideration of climate related risks and opportunities are embedded in the Matalan Group's corporate governance structure, along with the impact these risks and opportunities have on the business strategy and its approach to risk management.

We are continuing on our journey to fully integrate the assessment and management of climate-related risks and opportunities into our core business and to develop our strategies to respond to climate related risks that could materially impact our customers, colleagues, supply chain and business operations.

We recognise the importance of environmental sustainability and the role our business can play in the transition to a low carbon economy. As such, we have performed scenario analysis of our key climate related risks and opportunities, with the approach and results outlined below.

We are in the process of further evolving the maturity of our approach through the development of key metrics and targets that allow the business to better mitigate these risks and realise these opportunities whilst supporting and assessing our performance on our roadmap to net zero.

Governance:

As a business we continue to evolve and embed Board and senior management oversight of climate related risks and opportunities into our wider business governance structure. This structure is outlined below:

Board

The Board is responsible for setting the long-term strategy of the Matalan business. This is done through a framework of controls which allows risks, including climate-related risks and opportunities, to be assessed and where possible mitigated.

Leadership of the Group's ESG and sustainability agenda, including climate-related risks, is delegated to the company's Chief Operating Chain Officer, and the Head of ESG .They are responsible for updating the Board on all ESG matters and the company's progress on its sustainability roadmap.

As such, ESG is a standing agenda item at the Board every six months, alongside a written update within the Chief Operating Officers Board report each month.

ESG Executive Steering Committee

The Board delegates the oversight of the Group's strategies, goals and commitments related to climate, sustainability and ESG to the ESG Executive Steering Committee.

The Steering Committee meets quarterly and is responsible for ensuring that the Group's climate, sustainability and ESG priorities are reflected in the business culture by alignment with the wider corporate strategy and business values.

UK Climate Related Financial Disclosures (continued)
The ESG Executive Steering Committee is responsible for assessing, managing, and monitoring climate-related risks and opportunities, including overseeing the development of the Group's ESG goals, key performance indicators, metrics, strategies, objectives, and commitments.

The Steering Committee includes the Company's Chief Operating Officer, as ESG executive sponsor and key executive representation from all key departments including the CEO, Chief Financial Officer, Chief People Officer, Chief Product, Brand & Commercial Officer, and the Head of ESG.

In September 2023, the business engaged in a qualitative climate scenario analysis exercise, which was supported by external ESG Consultants, who also facilitated the upskilling of the executive team on climate related issues through a Board workshop.

This analysis was used to identify and assess the Company's key climate risks and opportunities, which have been used to inform and develop the business strategy around sustainability.

In light of the evolving landscape across ESG – the business is due to review these climate scenarios in 2026, to make sure they are still fit for purpose.

ESG Working Squad:
The day-to-day management of ESG is delegated to the ESG Working Squad, which is chaired by the Group's Head of ESG.

The Working Squad includes members from across the business, offering specialist insight across people and planet.

The Working Squad is responsible for the embedding of the Group's sustainability strategy into the wider business processes, systems and culture and as such lead on any projects related to meeting the Group's ESG goals.

The Working Squad also ensure any emerging climate related risks and opportunities are identified and communicated to the ESG Executive Steering Committee and for ensuring that ESG is built into the training and education of senior leadership and the wider business.

Strategy:
In line with the recommendations of 'The Companies (Strategic Report) (Climate-related Financial Disclosure) Regulations 2022', we undertook scenario analysis to identify the key climate related risks and opportunities facing the business under two plausible but contrasting climate scenarios.

These two scenarios, which were developed with the assistance of ESG consultants, represent likely plausible extremes for the worldwide future response to climate change and the physical impact of this response on the climate and the wider political, economic, and social environment.

The scenarios were selected in order to stress test Matalan's strategic resilience under two contrasting scenarios – the first which models high transition risks and the second which models high physical risks.

This ensures that our scenario planning takes account of the impact of both transitional risks such as potential public policy changes to combat climate change and the possible physical risks we might see from changes to the Earth's climate.

UK Climate Related Financial Disclosures (continued)

Strategy:
In order to achieve this, our scenarios were constructed taking into account two key frameworks: firstly the Shared Socioeconomic Pathway (SSPs) which describe different socioeconomic futures depending on whether society adopts a proactive or reactive approach to managing climate change through International Cooperation or independent action; and the Representative Concentration Pathways (RCPs) which model different emissions pathways and the associated impact on the climate. These scenarios are summarised below:

Scenario 1 – Steady Path to Sustainability
This scenario assumes an optimistic view on economic decarbonisation through proactive societal levers and a steady and orderly approach to climate change leading to a 1.5 C increase in global temperatures by 2100 (**SSP 1 / RCP 1.9 combination**). This scenario is designed to assess the Company's exposure to transition risk. This scenario highlighted a number of transition risks including shifts in fossil fuel prices, introduction of carbon taxes and the increase of plastic taxes as the most pressing to our business. Transition opportunities were also identified and included the Company's ability to shift from single use plastic and reduce operational expenditures through energy efficiency savings.

Scenario 2 – Fossil Fuelled Growth
This scenario assumes a plausible worst-case scenario from a climate change perspective with minimal International governmental efforts to deliver economic decarbonisation leading to a 4.0 C increase in global temperatures by 2100 (**SSP 5 / RCP 8.5 combination**). This scenario is designed to assess the Company's exposure to physical risk. This scenario highlighted key physical risks related to Matalan including long-term weather changes and weather events impacting supplier and logistics routes as the most pressing to our business.

In line with guidance on the inclusion of timescales that are flexible, reflect a longer time frame than standard risk assessments and mirror the time-horizons of our selected climate scenarios, we have built the following time horizons into our assessment:

Time Horizon	Years
Short term	1-3 years
Medium term	4-8 years
Long term	Until 2050

Short-term time horizons are aligned to Matalan's business planning and visibility statement periods, medium-term time horizons are aligned to peers that were collated while performing the scenario analysis and the long-term time horizons are aligned to UK Net Zero target of 2050

As Matalan's directly controlled store portfolio and website operate exclusively within the UK, our transition risks are also concentrated in the UK. However, as a business operating in the retail sector with an international value chain, worldwide factors such as raw material prices, extreme climate events, and freight costs have a material impact on the business. As a result, the Matalan assessment of climate related risks takes into account the geographical variability of the impact of climate change on different countries within the Matalan supply chain.

UK Climate Related Financial Disclosures (continued)

Based on the structure outlined above, Matalan was able to develop a short-list of the key climate-related risks facing the business along with the potential opportunities available to the business. These are summarised below with Matalan's response to these risks and opportunities demonstrating the resilience of the business model and strategy:

Type	Risk/Opportunity	Timeframe	Response
Chronic Physical Risk	Risk of long-term weather changes disrupting Matalan's supplier leading to shortages in available workers and raw materials, increasing margin dilution & upstream operational costs and delaying product delivery.	Medium-Long	Matalan's buying strategy has allowed it to create a flexible supply chain with its supply diversified across a number of different supplier countries and many of its key suppliers capable of offering multi-nation supply. As a result, we are able to mitigate a level of supply chain disruption related both to longer term climate change impacts and shorter term extreme climate events on individual supplier countries. The resilience of Matalan's supply chain has meant to date we have been able to mitigate the majority of impacts from supply chain disruption in supplier countries due to extreme climate events, moments of political instability and social unrest, although, even with the ability to mitigate most risks from these events, such events can lead to disruption and supply chain delays in the short term. For some product lines it is more difficult to diversify supply across a number of supplier countries where certain nations have a greater level of expertise, and a workforce particularly skilled in that area but we are undertaking work to ensure we are not overly dependent on a single supplier country for any product line. In that regard we ensure that no category types or key lines are all sourced from a single supplier country.
Acute Physical Risk	Risk of extreme weather events across key supplier countries in South East Asia, impacting transportation routes from garment factories to ports, disrupting logistics and the continuity and connectivity of Matalan's supply chain and increasing operational costs.	Short-Medium	

UK Climate Related Financial Disclosures (continued)

Type	Risk/Opportunity	Timeframe	Response
Transition Risk	Risk of shifts in fossil fuels prices caused by climate related market disruption, increasing production costs for Matalan's suppliers of raw materials, distribution & logistics costs, & operational costs across Matalan's business infrastructure.	Medium-Long	Matalan are a supporting retailer of the British Retail Consortium's Climate Action Roadmap and as such we are committed to work with other retailers to ensure we bring the UK retail industry's greenhouse gas emissions to net zero by 2040. As part of this commitment, Matalan are committed to fully decarbonise its Scope 2 emissions (those emissions generated indirectly when we buy electricity or energy produced for our own use) by 2030, to fully decarbonise our Scope 1 emissions (those emissions directly generated by us through such activities as heating, ventilation and transport) by 2035 and to fully decarbonise our Scope 3 emissions (all other emissions generated across our entire value chain from raw material production to our end-customer) by 2040. Matalan has been reporting on its Scope 1 and Scope 2 emissions since FY2021, which is helping focus our attention on the decarbonisation of our store estate, distribution centres and head office. We've invested in a Euro 6 vehicle fleet to transport our products from warehouse to store more efficiently and with lower emissions. We have also retrofitted our entire store estate with energy efficient LED lighting. These initiatives are delivering a marked reduction in both our carbon emissions and energy consumption as evidenced in our most recent Streamlined Energy & Carbon Reporting (SECR) as outlined on page 31 of these financial statements.
Resource Opportunity	Opportunity of reduced logistical costs through use of more efficient modes of transporting raw materials and products across Matalan's supply chain, limiting Matalan's exposure to fossil fuel-related price fluctuations & taxation	Medium	
Transition Risk	Risk of carbon taxes on Matalan & Matalan's suppliers, increasing costs across the supply chain from the production to the distribution of materials and products, reducing revenue.	Medium	

UK Climate Related Financial Disclosures (continued)

Type	Risk/Opportunity	Timeframe	Response
Resource Opportunity	Opportunity of reduced operating costs through the move to more efficient methods of building heat & energy supply across Matalan's physical assets	Short-Medium	We are also continuing to make energy efficient improvements to our property portfolio through the use of solar panels, removal of gas boilers, and through more state-of-the-art energy efficient solutions such as air-source heat pumps and voltage optimisation technology. There is more to do in this area, and we will be looking to transition our energy supply to more renewable and greener forms of energy moving forward. Given our position as a large UK retailer, those emissions generated by our wider value chain from raw material production to supplier production, shipping to colleague and customer travel, are of far greater significance than our own emissions. Consequently, we have recently completed an exercise with sustainability experts to fully understand and calculate and baseline our wider Scope 3 emissions, so that we have a true sense of the entire emissions involved across our entire value chain. By the end of 2026, we will have collected carbon emission data across scope 1, 2 and 3 for FY24, FY25 and FY26, which will support us to agree and publish a pathway to net zero across Scope 1, 2 & 3 emissions. This exercise will also allow us to work with both our key goods and freight suppliers, to help them to decarbonise their own activities. Linked to that we have been working with our key freight suppliers to look at ways to reduce the environmental impact of shipping our goods across the World through the use of more energy efficient container ships.

UK Climate Related Financial Disclosures (continued)

Type	Risk/Opportunity	Timeframe	Response
Resource Opportunity (continued)	Opportunity of reduced operating costs through the move to more efficient methods of building heat & energy supply across Matalan's physical assets	Short-Medium	With our supplier relationships across the World, we can also mitigate our environmental impact from shipping and offset rising freight costs through sourcing a greater proportion of our goods from closer supplier countries.
Transition Risk	Risk of increased plastic taxation in the UK, increasing the operating costs associated with plastic product and packaging, increasing operational costs and reducing revenue.	Short	The business has a cross-business action group on plastic, with leadership at executive level, focussed on reducing Matalan's plastic usage. The membership includes packaging experts, representation from our distribution & retail teams, along with waste & recycling expertise. Its remit is to fundamentally change our approach to plastic in the business. Initiatives include: Transitioning from plastic packaging to paper-based packaging where possible; Simplifying the range of hangars we use down to two types to enable them to be re-used across the business for longer; Contracting with our suppliers around the packaging they use to ship goods to us; Removing all plastic cutlery, cups and trays from our colleague canteens. We have conducted 'deep-dives' across our entire business to get a true sense of the types and amounts of plastic we use across our whole business and through this information we are seeking to remove all plastic where possible from each part of the business.
Market Opportunity	Opportunity of lower operational costs from shifting away from single-use plastic to more sustainable forms of packaging leading to lower exposure to plastic taxation & enhanced reputation	Short-Medium	

UK Climate Related Financial Disclosures (continued)

Type	Risk/Opportunity	Timeframe	Response
Product Opportunity	Opportunity of developing new products/services by aligning to changing demands for sustainable products, enhancing reputation & increasing revenue	Medium	Our customer strategy places significant focus on understanding customer demands and seeking feedback from our large and loyal customer base allowing us to proactively respond to changes in customer demand. As part of the Better Cotton Initiative we are already committed to sourcing 100% of cotton as Better Cotton. This approach ensures that the cotton used in our products is produced with less impact on the environment through reducing water waste and reducing use of plasticides whilst also improving the working conditions and standards of living of cotton farmers. As a value retailer it is essential that we seek to develop greener and more sustainable product choices for our customers moving forward whilst continuing to maintain our reputation for family value.

UK Climate Related Financial Disclosures (continued)

The following key assumptions were used in the scenario analysis:

Scenario	Key attributes	CFD Compliance
Scenario 1 – Steady Path to Sustainability (1.5°C by 2100)	The world takes rapid and drastic action to limit global warming and meet the ambition of the 2015 Paris Agreement - Co-ordinated action across public and private sectors - Low-carbon technologies take over from fossil fuels. - Shift in consumer demand and preferences towards low-carbon products and services.	The CFD requires two scenarios that are most relevant to the business and this scenario allows Matalan to explore transition risks in key markets, consider changes in consumer and client preferences and understand competitor and stakeholder pressures.
Scenario 2 - Fossil-fuelled growth (4°C by 2100)	The world continues to use fossil fuels as the engine of economic growth, result in worst-case levels of global warming: - Severe and frequent extreme weather, with chronic changes to seasonal weather. - Extreme business disruption, severely damaging economic growth. - Protectionist government policies to build resilience to climate change.	The CFD requires two scenarios that are most relevant to the business and this scenario allows Matalan to assess the impact of acute and chronic physical climate-related risks and opportunities on the business, supply chain, network and stakeholders.

UK Climate Related Financial Disclosures (continued)

Risk Management:
The business has an established process for identifying, assessing and monitoring risks within the business. Risks are contained within a Corporate Risk Register, managed by the Business Risk Team.

These are scored against a set criteria based on likelihood and impact with risks categorised into Strategic, Operational, Financial, Systems and Compliance.

The Corporate Risk Register is regularly reviewed by the Audit & Risk Committee, which is chaired by an experienced Non-Executive Director with oversight of the Group's approach to risk management. This Committee meets at least four times a year with the Corporate Risk Register as a standing agenda item.

Each area of the business is responsible for the compilation and maintenance of their own departmental Risk Registers that feed into the Corporate Risk Register.

Members of the executive and Senior leadership teams are assigned the risks relevant to their operational areas and working with the Business Risk team ensure that they have plans in place to manage and mitigate those risks.

As part of our work to embed ESG into our governance structure, climate related risks have now been incorporated into the Group's Risk Register with all areas of the business advised to consider climate related risks in their departmental Risk Registers. This is in recognition of the Growing importance of climate-related risks on the future success and resilience of the Matalan business.

The qualitative climate scenario analysis exercise completed in September 2023 aided the Board in identifying the key climate related risks facing the business with consensus achieved across the key management team.

The key physical climate risks facing the business are the threat of long-term weather changes and more frequent extreme weather events disrupting our supply base and logistics routes.

The key transition risks facing the business are the potential shifts in fossil fuels prices and changes in the regulatory environment such as the introduction of carbon taxes and the increase in plastic taxes.

Whilst these risks represent the key climate-related risks facing the business currently, as with all other risks, these risks can change and develop over time and other climate-related risks could become more severe in the future.

As a result, during 2026 the business intends to revisit this analysis exercise on climate related risks and opportunities with the ESG Executive Steering Committee and share an updated view with the Board and Audit and Risk Committee.

Metrics & Targets:
Progress against metrics, targets and KPIs are monitored and discussed at the ESG Working Squad, with performance against these targets reported up to the ESG Executive Steering Committee.

The business is early on in its journey in terms of adopting key metrics and targets to support its management of its key climate-related risks and to support its pathway to net zero.

UK Climate Related Financial Disclosures (continued)

Metrics & Targets (continued):

As a supporting retailer of the British Retail Consortium's Climate Action Roadmap we are committed to work with other retailers to ensure we bring the UK retail industry's greenhouse gas emissions to net zero by 2040, and this remains our overarching target,

As part of this commitment, Matalan are committed to being Net Zero by 2040. This step will help to mitigate the transition risks surrounding fossil fuel prices and carbon taxes whilst also enabling the business to realise the resource opportunities from reduced logistical costs and lower energy related operating costs.

Matalan has been reporting on its Scope 1 and Scope 2 since FY2021, which is helping focus our attention on the decarbonisation of our store estate, distribution centres and head office. Matalan includes its performance against these metrics in line with the Streamlined Energy & Carbon Reporting (SECR) requirements on page 31 of these financial statements.

However, it is those emissions generated by our wider value chain from raw material production to supplier production, shipping to colleague and customer travel, that are of far greater significance than our own emissions. Consequently, we have recently completed an exercise with sustainability experts to understand our Scope 3 emissions, so that we have a true sense of the entire emissions involved across our entire value chain.

We are currently reviewing carbon emissions data across Scope 1, 2, and 3 for FY24 and FY25 and expect to complete the collection of FY26 data by the end of 2026. This will enable us to gain a comprehensive understanding of our carbon footprint, establish a robust emissions baseline, and support the development of Science Based Targets for the business. This will enable us to develop credible carbon reduction plans and a clear roadmap of activities that support both our business ambitions and the BRC Climate Action Roadmap. These targets and plans will help guide our transition towards Net Zero by 2040 while embedding climate considerations into business decision-making and operations.

The business is on a pathway to fully embedding and evolving its response to climate related risks with the support and guidance of our Head of ESG. As part of this pathway, we are planning to produce our first ever Sustainability Report in FY27. Designed with colleagues in mind, the report will provide greater clarity on our overall sustainability strategy, our priorities and ambitions, and the targets that will help us to achieve net zero.

Key Performance Indicators

The directors consider pre-IFRS 16 EBITDA before exceptional items to be the main financial KPI for the business. There are no other key performance indicators that the directors believe are relevant. Pre-IFRS 16 EBITDA before exceptional items is a profit of £66.5m (2025: £53.7m), see note 8 to the financial statements for a reconciliation to the statutory results.

By order of the board



D R Williams
Director
Perimeter Road
Knowsley Industrial Park
Liverpool
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26 June 2026

MATALAN RETAIL LIMITED

DIRECTORS' REPORT FOR THE 53 WEEKS ENDED 28 FEBRUARY 2026

The directors present their report for the 53 weeks ended 28 February 2026.

Directors
The Company's directors who served during the period up to the date of signing the financial statements are:

K-H Holland
D R Williams
J Pee
K W Down
H H Nordvall (appointed 9 February 2026)

Principal activities
The principal activities of the Company are the sale of clothing and homeware via an omnichannel model primarily through out-of-town retail outlets and online, through the Matalan fascia. The Company also operates a franchise model, with several international stores based throughout Europe and the Middle East. A full review of business performance and the strategic plans for the business are outlined in the Strategic Report.

Directors' indemnities
During the period and up to the date of signing the financial statements, the Company maintained third party indemnity insurance for its directors and officers as defined by Section 234 of the Companies Act 2006.

Going concern
Details regarding the going concern status of the Company are included in note 2.3.

Employees
Information on matters of concern to employees is given through information bulletins and reports. Monthly meetings are held with head office employees which seek to achieve a common awareness on the part of all employees of the financial and economic factors affecting the Company's performance.

The Company is proud of its diverse workforce and we are committed to ensuring that all employees are treated fairly, both in terms of pay and the opportunities available to them regardless of disability or gender. Our policy is to recruit disabled workers for those vacancies they are able to fill. All necessary assistance with initial training courses is given. Once employed, a career plan is developed so as to ensure suitable opportunities for each disabled person. Arrangements are made, where possible, for retaining employees who become disabled, to enable them to perform work identified as appropriate to their aptitudes and abilities.

Political donations
During the period the Company made political donations of £nil (2025: £nil).

Dividends
The Company did not issue a dividend in the current or prior period.

Creditor payment policy
UK suppliers are paid at the end of the month following invoice or to the specific terms agreed with the supplier. Foreign suppliers are paid within an agreed number of days from either shipment date or document date.

It is the Company's policy to ensure the suppliers are aware of the Company's terms of payment and that terms of payment are agreed at the commencement of business with each supplier. Payments are made in accordance with the payment terms and conditions agreed. Trade creditor days at 28 February 2026 were 73 days (2025: 45 days) based on average daily purchases. The period-end increase in Trade creditor days compared to the financial period ending 22 February 2025 is in part due to the impact of the inclusion of the 53rd week and in part due to the acceleration of inventory intake for the Spring/Summer season launch.

Corporate governance statement

Matalan Retail Limited has not elected to voluntarily adopt a corporate governance code, however the directors are satisfied that the Company's internal policies and procedures provide a strong governance and control environment which allow the Company to mitigate risk and achieve its objectives.

The Statutory Board of the Group, of which Maryland Holdco Limited is the ultimate parent company, meet on at least a monthly basis with meetings held on a more regular frequency if circumstances require. The composition of the Board includes both Executive and Non-Executive members including the Group's newly appointed CEO, with the membership providing a diverse and wide variety of experience and insight across retail, business and the professional services. Where necessary the Board look to bolster that skill-set and expertise either through external advisers, temporary appointments or new permanent appointments.

The Board are responsible for setting colleague remuneration. In this capacity, the Board, through the Remuneration Committee, has a remit to focus on talent acquisition, development and retention, along with responsibility for ensuring employee incentives are appropriately set to reward employee, team and financial performance.

The Group provides detailed quarterly information to its investors and participates in an investor update call of the same frequency, where investors are able to pose questions of governance as they see fit.

Stakeholder engagement is a key part of both the Board and Senior Management's remit with a clear focus on customers, colleagues, suppliers, investors and the wider stakeholder community. Stakeholder relationships and engagement are discussed in more detail in the Company's Section 172 statement on page 4 of these financial statements.

As part of the strategic sales process completed in January 2023, the board of directors took all necessary steps, assisted by expert professional advice, to ensure the best possible outcome for the stakeholder community. In this capacity, the Board are confident that they achieved the best return for the Group's investors, whilst at the same time ensuring the continuation of the underlying business and thereby protecting colleague jobs and avoiding any detrimental impact to the Group's suppliers, landlords and other stakeholders.

The management functions are responsible for preparing the financial statements for Matalan Retail Limited and the internal audit and risk management functions are carried out by respective management teams with appropriate oversight from the board of directors.

The Company has a risk management framework, which includes a process for how we identify, evaluate, manage and monitor the principal risks faced by the Company, supported by a risk governance structure with defined accountability.

The Group has an Audit Committee, chaired by a non-executive director with extensive and highly relevant experience across audit, assurance and risk. The Committee is responsible for providing sufficient levels of risk oversight whilst also helping set the tone for the wider business around integrity, legal and regulatory compliance and brand reputation.

The business has also been investing in its Internal Audit Function, whilst also ensuring that the company and divisional risk registers are fully embedded into the day-to-day thinking of the business. Both data security and cyber security are areas of increasing focus for all businesses, and Matalan is investing in its governance, systems, processes and colleague training for managing and responding to risks to the security of its Information Technology systems and data.

The principal risks and uncertainties facing Matalan Retail Limited are explained on pages 13-17. These risks are monitored by management and the board of directors on a regular basis.

Greenhouse gas emissions – Streamlined Energy & Carbon Reporting (SECR)
In accordance with the disclosure requirements for large companies under the Companies Act 2006, Matalan Retail Limited is required to include statements regarding its greenhouse gas emissions and energy consumption. During the financial period ended 28 February 2026, the Matalan Group's CO_2e emissions totalled 20,702 tonnes (2025: 22,600 tonnes), and its total energy consumption was 102.3 million kWh (2025: 105.0 million kWh). The CO_2e emissions and energy consumption are split by source as follows:

	2026	2025
CO2e Emissions (tCO2e)		
Electricity	**10,345**	12,711
Transport fuel	**5,288**	4,247
Natural Gas	**5,065**	5,638
Gas Oil	**4**	4
Energy Consumption (million kWh)		
Electricity	**52.9**	56.4
Transport fuel	**21.7**	17.8
Natural Gas	**27.7**	30.8
Gas Oil	**-**	-
Intensity (tCO2e)		
Revenue (£m)	**986.5**	984.6
Intensity ratio (tCO2e per £m)	**20.98**	22.95

Matalan are committed to operating their facilities in a sustainable manner, as evidenced by the year-on-year decrease in emissions of 8.4% and reduction in energy consumption of 2.6%. During the year we have continued to implement numerous energy efficiency incentives to help reduce energy consumptions, through investment in energy upgrades across the store estate and encouraging more efficient use of energy in our stores and distribution centres. Beyond this, over the following year there are plans in place to implement new building management controls, fit electric vehicle charging at select locations and investigate the potential for heat pumps and solar energy options to further reduce the carbon emissions across the Group.

The greenhouse gas emissions and energy consumption figures have been calculated in line with the methodology set out in the UK Government's Environmental Reporting Guidelines 2020.

Disclosure of information to the auditor
For all persons who are directors at the time of the approval of the directors' report and financial statements:

a) so far as each director is aware, there is no relevant audit information of which the Company's Auditor is unaware, and
b) each director has taken all the steps necessary as a director in order to make himself aware of any relevant audit information and to establish that the Company's Auditor is aware of that information.

Independent auditor
Pursuant with Section 487 of the Companies Act 2006, the auditor will be deemed to be reappointed and Forvis Mazars LLP will therefore continue in office.

By order of the Board



D R Williams
Director
Perimeter Road
Knowsley Industrial Park
Liverpool
L33 7SZ

26 June 2026

MATALAN RETAIL LIMITED

STATEMENT OF DIRECTORS' RESPONSIBILITIES IN RESPECT OF THE STRATEGIC REPORT, DIRECTORS' REPORT AND FINANCIAL STATEMENTS

The directors are responsible for preparing the Strategic Report, Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with UK-adopted International Accounting Standards and applicable law. Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period.

In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether UK-adopted International Accounting Standards have been followed subject to any material departures disclosed and explained in the financial statements;
- provide additional disclosures when compliance with specific requirements in UK-adopted International Accounting Standards is insufficient to enable users to understand the impact of particular transactions, other events and conditions on the entity's financial position and financial performance; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

We confirm to the best of our knowledge:

- the financial statements, prepared in accordance with UK- adopted International Accounting Standards and applicable law, give a true and fair view of the assets, liabilities, financial position and profit or loss of the company;
- the Annual Report and Financial Statements taken as a whole, is fair, balanced and understandable and provides the information necessary for shareholders to assess the Company's performance, business model and strategy; and
- the Annual Report and Financial Statements includes a fair review of the development and performance of the business and the Group taken as a whole. Together with a description of the principal risks and uncertainties they face.

Approved by order of the board

MATALAN RETAIL LIMITED

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF MATALAN RETAIL LIMITED

Opinion

We have audited the financial statements of Matalan Retail Limited (the 'company') for the year ended 28 February 2026 which comprise Income Statement, Statement of Comprehensive Expenditure, Statement of Financial Position, Statement of Cash Flows, Statement of Changes in Shareholders' Equity and notes to the financial statements, including a summary of material accounting policies.

The financial reporting framework that has been applied in their preparation is applicable law and UK-adopted international accounting standards.

In our opinion, the financial statements:

- give a true and fair view of the state of the company's affairs as at the 28 February 2026 and of its loss for the year then ended; and
- have been properly prepared in accordance with UK-adopted international accounting standards; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the "Auditor's responsibilities for the audit of the financial statements" section of our report. We are independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Our audit procedures to evaluate the directors' assessment of the company's ability to continue to adopt the going concern basis of accounting included but were not limited to:

- Undertaking an initial assessment at the planning stage of the audit to identify events or conditions that may cast significant doubt on the company's ability to continue as a going concern;
- Obtaining an understanding of the relevant controls relating to the directors' going concern assessment;
- Making enquiries of the directors to understand the period of assessment considered by them, the assumptions they considered and the implication of those when assessing the company's future financial performance;
- Challenging the appropriateness of the directors' key assumptions in their cash flow forecasts, by seeking and reviewing supporting and contradictory evidence in relation to these key assumptions and assessing the directors' consideration of severe but plausible scenarios. This included assessing the viability of mitigating actions within the directors' control;
- Testing the accuracy and functionality of the model used to prepare the directors' forecasts;
- Assessing the historical accuracy of forecasts prepared by the directors;
- Considering the consistency of the directors' forecasts with other areas of the financial statements and our audit; and
- Evaluating the appropriateness of the directors' disclosures in the financial statements on going concern.

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF MATALAN RETAIL LIMITED (CONTINUED)

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Other information

The other information comprises the information included in the Annual Report, other than the financial statements and our auditor's report thereon. The directors are responsible for the other information contained within the annual report. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit, or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the strategic report and the directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the strategic report and the directors' report have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception

In light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified material misstatements in the strategic report or the directors' report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF MATALAN RETAIL LIMITED (CONTINUED)

Responsibilities of Directors

As explained more fully in the directors' responsibilities statement set out on page 33, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

The extent to which our procedures are capable of detecting irregularities, including fraud is detailed below.

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud.

Based on our understanding of the company and its industry, we considered that non-compliance with the following laws and regulations might have a material effect on the financial statements: UK tax legislation, employment regulation, health and safety regulation, anti-money laundering regulation, data protection, anti-bribery and corruption and fraud.

To help us identify instances of non-compliance with these laws and regulations, and in identifying and assessing the risks of material misstatement in respect to non-compliance, our procedures included, but were not limited to:

- Inquiring of management and, where appropriate, those charged with governance, as to whether the company is in compliance with laws and regulations, and discussing their policies and procedures regarding compliance with laws and regulations;
- Inspecting correspondence, if any, with relevant licensing or regulatory authorities;
- Communicating identified laws and regulations to the engagement team and remaining alert to any indications of non-compliance throughout our audit; and
- Considering the risk of acts by the company which were contrary to applicable laws and regulations, including fraud.

We also considered those laws and regulations that have a direct effect on the preparation of the financial statements, such as: tax legislation, pension legislation, the Companies Act 2006.

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF MATALAN RETAIL LIMITED (CONTINUED)

In addition, we evaluated the directors' and management's incentives and opportunities for fraudulent manipulation of the financial statements, including the risk of management override of controls, and determined that the principal risks related to posting manual journal entries to manipulate financial performance, management bias through judgements and assumptions in significant accounting estimates in particular in relation to revenue recognition (which we pinpointed to the occurrence assertion) and inventory valuation.

Our audit procedures in relation to fraud included but were not limited to:

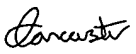
- Making enquiries of the directors and management on whether they had knowledge of any actual, suspected or alleged fraud;
- Gaining an understanding of the internal controls established to mitigate risks related to fraud;
- Discussing amongst the engagement team the risks of fraud; and
- Addressing the risks of fraud through management override of controls by performing journal entry testing.

There are inherent limitations in the audit procedures described above and the primary responsibility for the prevention and detection of irregularities including fraud rests with management. As with any audit, there remained a risk of non-detection of irregularities, as these may involve collusion, forgery, intentional omissions, misrepresentations or the override of internal controls.

A further description of our responsibilities for the audit of the financial statements is located on the Financial Reporting Council's website at www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Use of the audit report

This report is made solely to the company's members as a body in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body for our audit work, for this report, or for the opinions we have formed.



Charlene Lancaster (Senior Statutory Auditor) for and on behalf of Forvis Mazars LLP
Chartered Accountants and Statutory Auditor

Forvis Mazars LLP
One St Peter's Square
Manchester
M2 3DE
United Kingdom

26 June 2026

MATALAN RETAIL LIMITED

INCOME STATEMENT

	Note	**53 weeks ended 28 February 2026 £'m**	52 weeks ended 22 February 2025 £'m
Revenue	4	**986.5**	984.6
Cost of sales (including exceptional items)	4	**(862.2)**	(883.7)
Gross profit	4	**124.3**	100.9
Administrative expenses (including exceptional items)	4	**(76.9)**	(70.4)
Operating profit	4	**47.4**	30.5
Operating profit pre-exceptional items		**56.7**	39.3
Exceptional items – cost of sales	28	**(3.6)**	(6.6)
Exceptional items – administrative expenses	28	**(5.7)**	(2.2)
Operating profit	4	**47.4**	30.5
Finance costs	5	**(83.7)**	(77.8)
Finance income	5	**1.1**	1.9
Exceptional items – finance costs	5, 28	**(1.1)**	-
Net finance costs	5	**(83.7)**	(75.9)
Loss before tax	9	**(36.3)**	(45.4)
Income tax credit	10	**8.1**	5.9
Loss for the period		**(28.2)**	(39.5)

MATALAN RETAIL LIMITED

STATEMENT OF COMPREHENSIVE EXPENDITURE

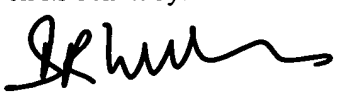
	53 weeks ended 28 February 2026 £'m	52 weeks ended 22 February 2025 £'m
Loss for the period	**(28.2)**	(39.5)
Other comprehensive (expenditure)/income:		
Items that may be reclassified to the income statement		
Cash flow hedges fair value (losses)/gains	**(5.9)**	11.3
Tax element of cash flow hedges	**1.4**	(2.7)
Total items that may be reclassified to the income statement	**(4.5)**	8.6
Hedging gains & losses transferred to inventory	**0.4**	(0.6)
Net comprehensive (expenditure)/income for the period	**(4.1)**	8.0
Total comprehensive expenditure for the period	**(32.3)**	(31.5)

MATALAN RETAIL LIMITED

STATEMENT OF FINANCIAL POSITION AS AT 28 FEBRUARY 2026

	Note	2026 £'m	Restated 2025 £'m
Assets			
Property, plant and equipment	11	**126.1**	129.9
Right-of-use assets	25	**240.3**	256.1
Intangible assets	12	**28.4**	25.0
Deferred tax asset	10	**35.0**	25.5
Financial assets – derivative financial instruments	18	**0.6**	1.0
Total non-current assets		**430.4**	437.5
Inventories – goods for resale	13	**128.5**	115.4
Loans to group undertakings	16	**68.0**	-
Trade and other receivables	14	**40.3**	163.7
Financial assets – derivative financial instruments	18	**0.3**	1.9
Cash and cash equivalents	15	**76.4**	85.9
Total current assets		**313.5**	366.9
Total assets		**743.9**	804.4
Liabilities			
Financial liabilities – derivative financial instruments	18	**(5.7)**	(1.7)
Short-term lease liabilities	25	**(84.0)**	(90.2)
Loans from group undertakings	17	**(286.0)**	(181.4)
Trade and other payables	19	**(170.4)**	(284.3)
Provisions for other liabilities and charges	20	**(0.5)**	(0.7)
Total current liabilities		**(546.6)**	(558.3)
Financial liabilities – derivative financial instruments	18	**(0.1)**	-
Long-term lease liabilities	25	**(257.8)**	(274.7)
Trade and other payables	19	-	(1.6)
Provisions for other liabilities and charges	20	**(6.0)**	(4.1)
Total non-current liabilities		**(263.9)**	(280.4)
Total liabilities		**(810.5)**	(838.7)
Net liabilities		**(66.6)**	(34.3)
Capital and reserves			
Share capital	21	-	-
Hedge reserve	22	**(2.9)**	1.2
Retained earnings		**(63.7)**	(35.5)
Total shareholders' equity		**(66.6)**	(34.3)

The financial statements on pages 38 to 84 were approved by the board of directors on 26 June 2026 and signed on its behalf by:



D R Williams
Director
Matalan Retail Limited

Registered number: 02103564

MATALAN RETAIL LIMITED

STATEMENT OF CASH FLOWS

	Note	**53 weeks ended 28 February 2026 £'m**	52 weeks ended 22 February 2025 £'m
Cash flows from operating activities			
Cash generated from operations	23	**151.8**	114.1
Interest paid	5	**(75.6)**	(72.9)
Taxation received	10	**-**	-
Net cash generated from operating activities		**76.2**	41.2
Cash flows from investing activities			
Purchase of property, plant and equipment	11	**(34.3)**	(13.7)
Purchase of intangible assets	12	**(11.5)**	(3.4)
Interest received	5	**1.1**	1.5
Net cash used in investing activities		**(44.7)**	(15.6)
Cash flows from financing activities			
Exceptional finance costs	5, 28	**(1.1)**	-
Repayment of lease liability	24, 25	**(61.2)**	(62.3)
Loans received from group undertakings	24	**25.0**	-
Repayment of loans from group undertakings	24	**(3.7)**	-
Net cash used in financing activities		**(41.0)**	(62.3)
Net decrease in cash and cash equivalents		**(9.5)**	(36.7)
Net cash and cash equivalents at the beginning of the period		**85.9**	122.6
Net cash and cash equivalents at the end of the period	15	**76.4**	85.9

MATALAN RETAIL LIMITED

STATEMENT OF CHANGES IN SHAREHOLDERS' EQUITY

	Share capital £'m	Hedge reserve £'m	Retained earnings £'m	Total equity £'m
As at 25 February 2024	-	(6.8)	4.0	(2.8)
Comprehensive income/ (expenditure):				
Loss for the period	-	-	(39.5)	(39.5)
Other comprehensive income				
Cash flow hedges				
- fair value gains in the period	-	11.3	-	11.3
- tax element of cash flow hedges	-	(2.7)	-	(2.7)
Total other comprehensive income	**-**	**8.6**	**-**	**8.6**
Hedging gains & losses transferred to the cost of inventory	**-**	**(0.6)**	**-**	**(0.6)**
Net other comprehensive income	**-**	**8.0**	**-**	**8.0**
As at 22 February 2025	**-**	**1.2**	**(35.5)**	**(34.3)**
As at 23 February 2025	-	1.2	(35.5)	(34.3)
Comprehensive income/ (expenditure):				
Loss for the period	-	-	(28.2)	(28.2)
Other comprehensive expenditure				
Cash flow hedges				
- fair value losses in the period	-	(5.9)	-	(5.9)
- tax element of cash flow hedges	-	1.4	-	1.4
Total other comprehensive expenditure	**-**	**(4.5)**	**-**	**(4.5)**
Hedging gains & losses transferred to the cost of inventory	**-**	**0.4**	**-**	**0.4**
Net other comprehensive expenditure	**-**	**(4.1)**	**-**	**(4.1)**
As at 28 February 2026	**-**	**(2.9)**	**(63.7)**	**(66.6)**

MATALAN RETAIL LIMITED

NOTES TO THE FINANCIAL STATEMENTS

1. General information

The Company is a private limited liability company, limited by shares, and is incorporated and domiciled in England in the UK. The financial statements are presented in sterling, which is the Company's functional currency. All amounts presented in the financial statements have been rounded to the nearest £0.1m, unless otherwise stated. The address of its registered office is Perimeter Road, Knowsley Industrial Park, Liverpool, L33 7SZ.

2. Summary of material accounting policies

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented unless otherwise stated.

2.1 Basis of preparation

These financial statements have been prepared and approved by the directors in accordance with UK-adopted International Accounting Standards ("UK-adopted IFRSs"). The financial statements have been prepared on the going concern basis under the historical cost convention as modified by financial assets and financial liabilities (including derivative instruments) which are recognised at fair value through the income statement.

The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the Company's accounting policies.

2.2 New standards, amendments to standards or interpretations

There are no new IFRSs or IFRIC interpretations that are effective for the first time for the financial year that have had a material impact on the Company.

The Company has adopted the following IFRSs in these financial statements:

- Amendments to IAS 21 The Effects of Changes in Foreign Exchange Rates: Lack of Exchangeability

The adoption of the above standards and interpretations did not result in any material changes to the Company's accounting policies or have any other material impact on the financial position or performance of the Company.

New accounting standards in issue, but not yet effective for accounting periods beginning on or after 1 January 2026:

UK-adopted and EU-endorsed

- Amendments to IFRS 9 Financial Instruments and IFRS 7 Financial Instruments: Disclosures;
- Annual improvements to IFRS accounting standards – Volume 11

UK-adopted (not EU-endorsed)

- IFRS 18 Presentation and Disclosure in Financial Statements

The adoption of IFRS 18 is expected to have an impact on the presentation of the income statement but not to have a material impact on the accounting policies, financial position or performance of the Company. The adoption of the other above standards and interpretations is not expected to lead to any material changes to the Company's accounting policies or have any other material impact on the financial position or performance of the Company.

The Company continues to monitor the potential impact of other new standards and interpretations which have been or may be endorsed and require adoption by the Company in future reporting periods.

The Company does not consider that any other standards, amendments or interpretations issued by the IASB, but not yet applicable, will have a significant impact on the financial statements.

2. Summary of material accounting policies (continued)

2.3 Going concern

The period ended 28 February 2026 continued to represent a challenging trading environment for the Matalan business and the wider retail sector. Consumer demand remained subdued throughout the period, with the lasting impacts of the cost-of-living crisis, inflationary conditions and elevated interest rates continuing to put pressure on customers' disposable income and levels of discretionary spend. These difficult trading conditions were further exacerbated by the wider macro-economic uncertainties caused to international trade by a constantly changing tariff environment and the associated additional costs of doing business in a time of economic insecurity.

Against this challenging market backdrop, and despite the continuing financial pressures on UK consumers, the business managed to stabilise its revenue performance following two years of sales decline. This was achieved by delivering top-line growth in its digital channel, through the successful refresh of 30 of its stores, with this refit programme out-performing growth expectations, and by increasing market share in a highly competitive market. This was also achieved despite our international franchise business seeing a further year of sales decline as a number of key franchise partners in the Middle East and around the Mediterranean coast were negatively impacted by the challenging macro-economic conditions and regional political instability.

As a result of this stabilisation of revenue performance, as well as delivery of a further step-on in margin performance, and strong cost control, the business was able to deliver a further 24% improvement in the Matalan Group's underlying pre IFRS 16 EBITDA profitability. This represents an improvement in its underlying pre IFRS 16 EBITDA growth of over 150% since the Matalan Group's acquisition in 2023.

The favourable benefits delivered from the savings made in the bought-in-price of goods sold and a focus on profitability, along with savings delivered against our freight contract and favourable gains achieved on our hedged currency rates, more than offset the investment made in markdown to drive footfall in a highly competitive and promotional market. The net gain in gross margin achieved in FY26 helped to insulate the business from the inflationary pressures on the group cost base and a significant increase in payroll costs caused by National Living Wage rises, the substantial changes made to National Insurance, as well as investments made by the business in our colleagues and structural investments made to help deliver the strategy and drive the business forward.

As a result, Matalan Retail Limited managed to deliver a significant improvement in its EBITDA figure, and, despite significant capital expenditure in the year, the Company continued to have strong liquidity. As at 28 February 2026, unrestricted cash and cash equivalents, per the balance sheet was £76.4m.

Matalan Retail Limited is a member of the Matalan Group and is a joint guarantor of the wider Group's loan indentures. As such Matalan Retail Limited is also a party to a number of intercompany balances, including £286.0m of intercompany loans owing to two other Group entities, both of which have provided written confirmation that they do not intend to seek repayment of these loans for at least 12 months from the date of approval of these financial statements.

As the key trading entity of the Group responsible for 100% of the Group's external revenues, its cash generation is key to the Group's ability to service its external debt facilities.

In April 2025, the Group drew down an additional £25m of Super Senior Note funding from its investor group, to enable the delivery of the Group's strategic aims, to finance the associated capital investment required to accelerate our growth plans, and to facilitate where possible a repurchase of debt to enable a deleveraging of the business.

2. Summary of material accounting policies (continued)

2.3 Going concern (continued)

Linked to this new investment, and to enable access to further funding to deliver the capital investment plan outlined in the Matalan 5-Year Strategy, the Group additionally negotiated a change to its loan note indentures to increase the level of the pre-approved permitted Super Senior debt basket capacity up to £60m. This allows for a further £35m of Super Senior funding to be sourced on top of the £25m of already drawn new funding.

The Group also gained consent to extend the debt maturity date of the Super Senior Notes from 31 January 2027 to 1 December 2027, and to extend the debt maturity date of the New Priority Notes from 31 July 2027 to 31 December 2027.

In September 2025, as part of its wider management of its overall debt structure, the Group acquired and cancelled £5.0m of Senior Secured Notes. This reduced the capital value of the Issued Senior Secured Notes from £199.8m to £194.8m.

As a result, the Group exited the financial period with a debt structure comprising Super Senior Notes of £111.2m with a maturity date of December 2027, New Priority Notes of £75m with a maturity date of December 2027, and Senior Secured Notes of £194.8m with a maturity date of January 2028.

There are no performance related covenants linked to any of the Group's debt instruments.

During FY25, management developed a detailed 5-year strategy to enable the business to accelerate its turn-around and to realise its growth potential through a focus on product improvements, refreshing and growing the Group's retail estate, enhancing E-commerce & loyalty offerings, developing existing and new commercial partnerships and reinvigorating the international business.

The additional £25m of Super Senior Note funding successfully drawn in April 2025 was negotiated based on this strategy, to deliver the associated capital investment required to enable our growth plans, with the extension of the debt maturity dates and debt basket capacity giving the business both the time and resources to fully deliver this strategy and to realise its potential.

Given the successful implementation of the strategy to date and the evidenced return on investment delivered by this capital programme, in February 2026 the Group successfully negotiated with its key core investor group the ability to access additional funding to further accelerate the delivery of the strategic plan.

The core investor group have committed to acquire a further £25m of Super Senior loan notes in Spring 2026 to provide extra funding for the group to support the capital investment plans for the business and to provide working capital support to enable the accelerated intake of seasonal stock to deliver earlier and bolder new season launches. Given the short-term seasonal cash low points for the business, the negotiated structure allows for the funding to be drawn to cover the seasonal low-point with a separate side-letter allowing for the early repayment of this funding following this seasonal low point and on the basis that the group has sufficient liquidity to effect this repayment. Should the directors deem that the business does not meet the liquidity threshold to enable the repayment of the financing then the loan notes become permanent with the maturity date reverting to the standard Super Senior Note maturity date of December 2027.

Based on current trading performance and group cashflow forecasts the group has elected not to draw this available funding as at the date of these financial statements. However, the core investor group have indicated in writing their willingness to continue to provide funding where required to support our future working capital requirements around our ongoing seasonal Autumn and Spring cash low points.

2. Summary of material accounting policies (continued)

2.3 Going concern (continued)

Nevertheless, the Group continues to operate against a challenging economic backdrop caused in part by the negative impact that the cost-of-living crisis had on overall consumer confidence and levels of discretionary spend amongst the Matalan customer base, and in part due to the wider macro-economic uncertainties caused by the conflict in Iran. The fall-out from this conflict and in particular the closing of the Strait of Hormuz has caused hikes in international fuel and energy prices and severe disruption to international trade, with the UK economy and UK consumers exposed to these shockwaves.

Whilst the Matalan Group has been able to successfully manage these economic headwinds to date, delivering a year-on-year growth in both sales and profitability in the first quarter of FY27, management remain aware of the potential impact a prolonged conflict in the Middle-East could have on UK inflation and its impact on consumer spending.

Given this risk and to provide the business with a longer runway to deliver on its strategic plans, management have successfully negotiated with its bondholder population a further 16-month extension to its loan note maturity dates. The Group has obtained the necessary consent to extend the debt maturity date of the Super Senior Notes from 1 December 2027 to 1 April 2029, to extend the debt maturity date of the New Priority Notes from 31 December 2027 to 30 April 2029, and to extend the debt maturity date of the Senior Secured Notes from 26 January 2028 to 26 May 2029.

As part of the directors' going concern assessment, we have also considered the potential impact of these factors on both consumer demand and on the Group's cost base. We believe the steps taken by management to shelter the business from rising costs, its diversified and robust supply chain, and the Group's strategic position as a value retailer, will help the business manage these challenges.

The directors have assessed the Group cashflow forecasts in order to inform the Board's conclusions as to the ability of the Group to have sufficient headroom to meet its liabilities as they fall due, and to allow it to operate as a going concern over a period of 12 months from the approval of the financial statements. These forecasts include the FY27 budget along with the Group's FY28 draft plan. Through a focus on improved customer value and product improvements, refreshing and growing the Group retail estate, enhancing the E-commerce & loyalty offerings, developing commercial partnerships and reinvigorating the international proposition, the business is expected to deliver revenue growth and an improvement in EBITDA profitability.

In response to the challenging macro-economic factors noted above, the Group's management have also considered a severe but plausible downside that business performance is significantly weaker than planned. This scenario assumes a 11% degradation in revenue from the original FY27 budget for both the first half of FY27 and second half of FY27, representing a full year sales reduction of over £115m. The scenario also assumes over £100m of sales reduction across FY28, representing over 9% degradation in revenue. Based on this severe but plausible downside scenario, which would see the business delivering a c. 35% reduction in EBITDA performance in FY27 compared to budget and a c.40% reduction in FY28 EBITDA compared to plan, the Group has sufficient mitigating levers available to it through reduction of capital expenditure and stock intake management to ensure that the business maintains a sufficient level of cash headroom throughout the forecast period.

2. Summary of material accounting policies (continued)

2.3 Going concern (continued)

Management have considered an even more extreme downside scenario, involving a further £50m reduction in revenue across the remainder of FY27, and a further £40m reduction in revenue across the first half of FY28, which would see the business delivering a revenue performance unprecedented outside of Covid-19 retail restrictions. In such a scenario, this would lead to a working capital shortfall if unmitigated, but there are further actions entirely in management's control, such as further reductions in intake to right-size inventory holdings and the cancellation or deferral of uncommitted capital expenditure, that could be taken to ensure the business could manage its cashflows around its key and short-lived cashflow low points in Autumn 2026 and in the early months of 2027. As the Group loan indentures do not include any performance related covenants, these downside scenarios do not trigger any detrimental debt related consequences.

In addition, given the progress the business has made and continues to make in delivering its strategic plan and improving its profitability, the core investor group has shown its willingness to support the financial security of the group by inter alia providing extra funding, increasing the available debt baskets and extending the terms of the Notes. As a result, in a potential scenario where the business did face short-term liquidity issues in the future, the Directors are confident they would be in a position to hold constructive discussions with the core investor group to further support the business if required.

Therefore, having done this assessment, and taken into account the facilities and liquidity levers now available to the Group, the Board has concluded that Maryland Holdco Limited and the wider Group, including Matalan Retail Limited has the liquidity it requires and will continue to have sufficient headroom to meet its liabilities in full over the next 12 months from the date of approval of these financial statements.

Taking all of the above matters into account, the directors believe it is reasonable to anticipate that the Group's capital structure and liquidity is sufficient to allow Matalan Retail Limited to meet its requirements over the next 12 months and have therefore concluded that it remains appropriate to adopt the going concern basis in the preparation of these financial statements.

2.4 Critical accounting estimates and judgements

The preparation of financial statements in conformity with IFRS requires management to make judgements, estimates and assumptions concerning the future that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. These judgements, estimates and assumptions are based on historical experience and management's best knowledge at the time. Actual results may differ from these estimates.

Critical accounting estimates relate to the following:

(a) Carrying value of inventories

Inventories include provisions for obsolescence, markdowns and shrinkage based on historical experience and management estimates of future events. Provisions are made from those items of inventory where the net realisable value is estimated to be lower than cost. Net realisable value is based on both historical experience and assumptions regarding future selling values and disposal channels, and is consequently a source of estimation uncertainty.

Whilst the level of provision inherently involves a level of management judgement, the impact on profit or loss of a 10% increase or decrease in the year-end inventory provision position, which management believe to be a reasonable reflection of possible outcomes, would be a maximum increase/(decrease) of £0.4m.

Details regarding the level of write-offs and provisions recognised against inventory during both the current and prior year are disclosed in note 13 and reflect the material nature of these amounts.

2. Summary of material accounting policies (continued)

2.4 Critical accounting estimates and judgements (continued)

(b) Impairment

The Company has adopted an approach in line with IAS 36, to ensure that the entity's assets are not carried at more than their recoverable amount. For the purposes of determining whether impairment of assets has occurred, and the extent of any impairment loss or its reversal, management uses a number of key assumptions in estimating the cash generation of individual stores. The recoverable amount of each CGU is estimated based on the present value of the cashflows expected to be generated from each CGU, using sensitised store trading forecasts and an appropriate pre-tax discount rate. Each store's value in use includes an allocation of online margin (as outlined in note 2.8), an apportionment of central and distribution centre costs and a proportion of the net costs required to service the group's clearance stores. The recoverable amount of each CGU is compared to the carrying amounts of each store inclusive of a deemed allocation of group assets. The recoverable amount of each CGU is based upon future forecasts and management assumptions regarding growth rates, discounts rates and asset allocations and is consequently a source of estimation uncertainty. Please see notes 11 and 12 for the assets noted here.

(c) Dilapidations

The Company includes a dilapidations provision within its financial statements to cover the cost of dilapidations in its store estate. The provision covers both the cost of making good the general wear and tear in the store estate in accordance with IAS 37, and an estimate of the cost to be incurred by the Company in restoring the underlying asset to the conditions required by the terms of the lease in accordance with IFRS 16. The provision represents a best estimate of expenditure required to settle the present obligation at the balance sheet date. Given the size of the store estate, the provision is measured on a probability-weighted expected value basis based upon an assessment of both the cost and probability of a store incurring dilapidation costs extrapolated over the total store population. In reaching this best estimate, management take into account the risks and uncertainties that surround the underlying events, and as such, this estimate is based upon historical experience and managements best knowledge at the balance sheet date. Please see note 20 for the liabilities noted here.

Critical judgements relate to the following:

(d) Lease Interest Rates

The Company cannot readily determine the interest rate implicit in the lease, and therefore it uses its incremental borrowing rate to measure lease liabilities. The Incremental Borrowing Rate ("IBR") is the rate of interest that the Company would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment. The assessment of the IBR is management's best estimate of the appropriate borrowing rate at inception of each lease and is based on both external macro-economic indicators and internal micro-economic factors around the Company borrowings and risk profile. As such it inherently involves management assumptions, judgements and the use of both internally generated and externally obtained data sources, and is consequently a source of estimation uncertainty. Please see note 25 for the assets noted here.

2. Summary of material accounting policies (continued)

2.4 Critical accounting estimates and judgements (continued)

(e) Deferred Taxation
Deferred tax assets and liabilities are calculated using the enacted or substantively enacted rates that are expected to apply when an asset is realised or a liability is settled. Deferred tax assets are recognised only to the extent it is considered probable that those assets will be recoverable. This involves an assessment of when those assets are likely to reverse, and a judgement as to whether or not there will be sufficient taxable profits available to offset the assets when they do reverse. This requires assumptions regarding future profitability and is therefore inherently uncertain. Therefore, in order to mitigate this inherent uncertainty, the business only assesses probable levels of recoverability over a maximum 6 year period with this assessment based on growth forecasts using a highly sensitised assessment of the Group's budget and long term strategic forecasts. To the extent assumptions regarding future profitability change, there can be an increase or decrease in the amounts recognised in respect of deferred tax assets as well as in the amounts recognised in income in the period in which the change occurs.

2.5 Revenue
Revenue, which excludes value added tax and discounts, represents the value of goods sold through retail shops and online. The goods sold comprise of clothing and homewares.

Retail revenue, which is net of returns, is recognised in the financial statements when control has passed to the customer at the point of sale. Sale of goods online are recognised when goods are delivered and title has passed. Returns include both actual returns, and the movement on the provision of expected returns.

Dropship revenue, where goods are provided by direct delivery from the manufacturer to customer, is recognised when goods are delivered and title has passed, with Matalan acting as the principal. Matalan has a small number of concession partners. For the sale of concession goods, Matalan acts as the agent where commission revenue is recognised based on the sale of the concessionary goods.

International revenue is recognised on an ex works basis, in line with our franchise contracts at the point of despatch to our International franchise partners. Sales to the partners represent the cost of products sold to international Matalan franchisees plus a royalty mark up; all operating costs and revenues associated with the running of the international stores are incurred and generated by the franchisees.

Revenue from ancillary income streams are generated from sources that are complementary and ancillary to the primary trading activities of the business. These ancillary income streams include online fulfilment income, upstream and downstream supply income and income generated from recycling.

Income generated through Gift Cards are recognised in line with other revenue at the point the gift card is utilised as the payment method by the customer at the point of sale. For Matalan Gift Cards, at the point of expiration, any remaining funds will be recognised as revenue.

Sales returns are honoured within 28 days of purchase, and the expected level of returns is provided for within the balance sheet. This provision for returns on historic sales, is calculated based upon historical data

2. Summary of material accounting policies (continued)

2.6 Finance income & expenditure

Financing expenses include interest payable on loans, finance charges on lease liabilities recognised in profit or loss using the effective interest method, unwinding of the discount on provisions, and net foreign exchange losses that are recognised in the income statement (see foreign currency accounting policy). Interest payable is recognised in profit or loss as it accrues, using the effective interest method. Foreign currency gains and losses are reported on a net basis.

Finance income is recognised when it is probable that the economic benefits will flow to the company and the amount of revenue can be measured reliably. Finance income is accrued on a time basis, by reference to the principal outstanding and the effective interest rate applicable.

2.7 Intangible assets

(a) Computer software

Software and associated costs are capitalised as intangible assets where it is not an integral part of the related hardware at purchase cost and amortised over its estimated useful life which is generally 5 years. Capitalised software costs include both direct external costs of goods and services and internal payroll related costs for employees who are associated with the software project.

Development costs are recognised as intangible assets when the following criteria are met;

- It is technically feasible to complete the software so that it is available for use.
- Management intend to complete the software for use in the business.
- It can be demonstrated how the software will generate probable economic benefits in the future.
- Adequate technical, financial and other resources are available to complete the project.

Amortisation is charged to cost of sales or administrative expenses depending on the nature and purpose of the asset. On average, the computer software and associated costs have 2 year remaining amortisation period.

(b) Brands

Purchased brands are capitalised at historical cost as intangible assets and amortised over its estimated useful life which is generally 5 years. The Brand intangible asset has no years left of amortisation.

2.8 Impairment of non-financial assets

Non-financial assets that have an indefinite useful life, for example goodwill, are not subject to amortisation and are tested annually for impairment. Assets that are subject to amortisation are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell, and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (cash-generating units). Non-financial assets other than goodwill that suffered an impairment are reviewed for possible reversal of the impairment at each reporting date.

In accordance with IAS 36, management are required to identify cash generating units ("CGU") based on the smallest group of assets that includes the asset and generates cash inflows that are largely independent from other cash inflows from other assets or group of assets. On this basis, management have elected to treat each individual store as a separate CGU. The challenging economic conditions caused by the highly inflationary environment and continued high interest rates, represents impairment indicators and as such all CGUs have been assessed for impairment at the balance sheet date.

2. Summary of material accounting policies (continued)

2.8 Impairment of non-financial assets (continued)

The Company operates an omnichannel business, offering its customers the chance to shop its ranges through its e-commerce platform as well as its physical retail store estate. The online and store activities are intrinsically linked, interdependent and complementary, with the online and store goods managed from a single site, and the online business benefitting from its association to the Matalan fascia. The two channels are highly interdependent, with the option to click and collect in store or to check store availability online driving in-store footfall and improving the online customer experience. As a result our omnichannel customers spend significantly more with the business than single channel customers. It is for these reasons that our online channel is assessed as part of the store CGUs, with our online EBITDA, net of central and distribution centre cost allocations, assigned against each separate store CGU using store sales as a proxy for omni-channel customer overlap and store footfall.

2.9 Property, plant and equipment

Items of property, plant and equipment are stated at purchase cost or deemed purchase cost less accumulated depreciation and impairment losses. Cost includes expenditure that is directly attributable to the acquisition of the items.

Depreciation is charged to the income statement on a straight-line basis over the estimated useful economic lives of each component of an item of property, plant and equipment. The estimated useful lives are as follows:

Alterations to leasehold premises	2-14 years
Fixtures, fittings and IT hardware	4-7 years
Motor vehicles	8-10 years

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at each balance sheet date. An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

Gains and losses on disposals are determined by comparing the proceeds with the carrying amount and are recognised net in the income statement. Depreciation of property, plant and equipment is charged to cost of sales and administrative expenses in the income statement.

2.10 Assets under construction

Assets that are not yet in use are classified as 'assets under construction'. Assets under construction at year-end are reviewed as part of our annual impairment review. When the related asset is brought into use the asset will be transferred out of this classification and depreciation or amortisation will commence based on the estimated useful life as defined by the accounting policies specified above.

2.11 Foreign currency transactions

Transactions in foreign currencies are translated into sterling at the foreign exchange rate ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are translated into sterling at rates ruling at the balance sheet date. Foreign exchange differences arising on translation are recognised within the income statement except when recognised in other comprehensive income as qualifying cash flow hedges.

2. Summary of material accounting policies (continued)

2.12 Inventories

Inventories are stated at the lower of cost and net realisable value. Cost is based on purchase cost on a first in, first out basis and includes appropriate overheads and direct expenditure incurred in the normal course of business in bringing them to their present location and condition. Net realisable value is the price at which inventories can be sold in the normal course of business after deducting costs of realisation. Provisions are made as appropriate for obsolescence, markdown and shrinkage. Costs of inventories include the transfer from equity of any gains or losses on qualifying cash flow hedges relating to the purchase of goods for resale. Inventories of goods purchased from overseas are recognised at the point that control passes.

2.13 Current income tax

Current income tax charge is calculated on the basis of the tax laws enacted at the balance sheet date in the UK. Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation and establishes provisions where appropriate on the basis of amounts expected.

2.14 Deferred income tax

Deferred income tax is provided in full using the liability method, providing for temporary differences between the carrying amounts of assets and liabilities in the financial statements and the tax bases of assets and liabilities. The following temporary differences are not provided for; goodwill not deductible for tax purposes and the initial recognition of assets or liabilities that affect neither accounting nor taxable profit in a transaction which is not a business combination and at the time of the transaction, does not give rise to equal taxable and deductible temporary differences. The amount of deferred income tax provided is based on the expected manner of realisation or settlement of carrying amount of assets and liabilities, using tax rates enacted or substantively enacted at the balance sheet date and that are expected to apply when the related deferred income tax liability is settled or asset is realised.

A deferred income tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the asset can be utilised. Deferred income tax assets are reduced to the extent it is no longer probable that the related tax benefit will be realised. The basis for this probability assessment against which a deferred tax asset is recognised is outlined in note 2.4, critical accounting estimates and judgements.

Deferred income tax is charged or credited to the income statement when the liability is settled or the asset is realised. Deferred income tax is recognised in the income statement except to the extent that it relates to items recognised directly in equity, in which case it is recognised directly in equity.

2.15 Derivative financial instruments

The Company uses forward foreign currency contracts to manage its exposure to fluctuating foreign exchange rates. In accordance with its Treasury policy, the Company does not hold or issue derivative financial instruments for speculative or trading purposes.

These derivative financial instruments are initially recognised and measured at fair value on the date the contracts are entered into and subsequently re-measured at their fair value at the balance sheet date. The fair value is calculated using mathematical models and is based upon the duration of the derivative instrument together with quoted market data including foreign exchange rates at the balance sheet date.

The method of recognising the resulting gain or loss is dependent upon whether the derivative is designated as an effective hedging instrument and the nature of the item being hedged. The Company accounts for those derivative financial instruments used to manage its exposure to foreign exchange risk on highly probable foreign currency stock purchases as cashflow hedges under IFRS 9.

2. Summary of material accounting policies (continued)

2.15 Derivative financial instruments (continued)

At inception of a contract the Company documents the economic relationship between the hedging instrument and the hedged item as well as its risk management objective and strategy for undertaking various hedging transactions. The Company also documents its assessment of the effectiveness at inception and on an ongoing basis to ensure that the instrument remains an effective hedge of the transaction. When forward contracts are used to hedge forecast transactions, the Company generally designates the change in the fair value of the forward related to both the spot and forward elements as the hedging instrument.

The effective portion of the changes in fair value of cashflow hedges is recognised in equity. On completion of the forecast purchase transaction, the effective part of any gain or loss previously deferred in equity are reclassified from equity and included in the initial cost of inventory when recognised on the balance sheet. The deferred amounts are ultimately recognised in profit and loss within cost of sales. The effective gain or loss is recognised in cost of sales in the income statement in the same period during which the underlying asset affects the income statement.

If the hedge transaction is no longer expected to take place, then the cumulative unrealised gain or loss is recognised immediately in the income statement. The gain or loss relating to the ineffective portion is recognised immediately in profit and loss, within other gains/(losses). Cumulative gains or losses remain in equity and are then recognised when transactions are ultimately recognised in the income statement.

Derivatives are deemed to be current unless the financial instrument is due to mature more than 12 months after the balance sheet date then they are deemed to be non-current.

2.16 Cash and cash equivalents

Cash and cash equivalents comprise cash balances, call deposits and receipts in transit, both for credit cards and cash in transit from the stores.

2.17 Borrowings

Interest bearing borrowings are recognised initially at fair value less attributable transaction costs. Subsequent to initial recognition, interest bearing borrowings are stated at amortised cost with any difference between cost and redemption value being recognised in the income statement over the period of the borrowings on an effective interest basis. Borrowings are classified as current liabilities unless the Company has an unconditional right to defer settlement of the liability for at least twelve months after the balance sheet date.

2.18 Dividends

Final dividends payable to the Company's shareholders are recognised in the Company's financial statements in the period in which the dividends are approved by the Company's shareholders. Interim dividends payable are recognised in the period in which the dividends are paid.

2.19 Termination benefits

Termination benefits are payable when employment is terminated by the Company before the normal retirement date, or whenever an employee accepts voluntary redundancy in exchange for these benefits. The Company recognises termination benefits when it is demonstrably committed to the termination of the employment of current employees according to a detailed formal plan without possibility of withdrawal. These benefits are disclosed in the financial statements where material.

2. Summary of material accounting policies (continued)

2.20 Exceptional items

The Company defines exceptional items presented in the income statement as those non-underlying gains or losses that are material in size, and/or relate to events which are unusual or infrequent in nature. The directors are of the opinion that the separate recording of exceptional items provides helpful information about the Company's underlying business performance.

In order for an item to be assessed as exceptional it should, typically, meet at least one of the following criteria;

- the gain or loss is so material in size that its separate recording is necessary to interpret trading performance in the normal course of business;
- it is unusual in nature or outside the normal course of business and as such does not reflect the standard operational activities of the Company;
- it arises from a major business change or restructuring event, or directly relate to an acquisition or divestment;
- its inclusion distorts the Company's underlying trading performance due to its irregular nature year on year

Events which may give rise to the classification of items as exceptional include;

- costs of major restructuring and reorganisation of the existing business,
- acquisition and similar costs related to business combinations or debt refinancings,
- gains or losses on the disposal or impairment of assets, and other significant non-recurring gains or losses.

2.21 Share capital

Ordinary shares are classified as equity.

2.22 Trade and other receivables

Trade and other receivables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method, less any expected credit loss (see note 2.24).

2.23 Trade and other payables

Trade and other payables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method.

2.24 Impairment

Trade receivables, intercompany receivables and other receivables are recorded at transaction price and subsequently measured at amortised cost.

Where applicable other financial assets, including short term investments with a maturity date of over 90 days are classified as either fair value through other comprehensive income ("FVOCI") or fair value through profit or loss ("FVTPL"). There were no such assets on the balance sheet at the financial period end.

Trade receivables, intercompany receivables and other receivables are measured at amortised cost and assessed for impairment based on the credit risk of these assets. The impairment for credit risk is recognised on an expected credit loss model based on management's expectation of losses without regard to whether an impairment trigger happened or not.

2. Summary of material accounting policies (continued)

2.24 Impairment (continued)

For the majority of trade customers, by value, to whom credit is extended the trade receivable is fully securitised thus mitigating the credit risk, whilst over 65% (2025: 80%) of the Company's total receivables are inter-company balances.

Therefore, the credit risk of the Company is significantly reduced as these balances are supported by the Group. As a result, the overall credit risk of trade and other receivables is low.

The Company measures loss allowances at an amount equal to lifetime ECL, except for bank balances for which credit risk (i.e. the risk of default occurring over the expected life of the financial instrument') has not increased significantly since initial recognition which are measured as 12-month ECL.

Loss allowances for trade receivables and other receivables are always measured at an amount equal to lifetime ECL.

When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating ECL, the Company considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Company's historical experience and informed credit assessment and including forward-looking information.

The Company assumes that the credit risk on a financial asset has increased significantly if it is more than 30 days past due.

The Company considers a financial asset to be in default when:
- the borrower is unlikely to pay its credit obligations to the Company in full, without recourse by the Company to actions such as realising security (if any is held); or
- the financial asset is more than 90 days past due.

The Company considers a debt security to have low credit risk when its credit risk rating is equivalent to the globally understood definition of 'investment grade'. The Company considers this to be Baa3 or higher per rating agency Moody's or BBB- or higher per rating agency S&P.

Lifetime ECLs are the ECLs that result from all possible default events over the expected life of a financial instrument.

The maximum period considered when estimating ECLs is the maximum contractual period over which the Company is exposed to credit risk.

Measurement of ECLs

ECLs are a probability-weighted estimate of credit losses. Credit losses are measured as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Company expects to receive). ECLs are discounted at the effective interest rate of the financial asset.

Credit-impaired financial assets

At each reporting date, the Company assesses whether financial assets carried at amortised cost and debt securities at FVOCI are credit impaired. A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

2. Summary of material accounting policies (continued)

2.24 Impairment (continued)

Write-offs
The gross carrying amount of a financial asset is written off (either partially or in full) to the extent that there is no realistic prospect of recovery.

2.25 Intra-group financial instruments

Where the Company enters into financial guarantee contracts to guarantee the indebtedness of other companies within its Group, the Company performs an assessment of these arrangements to determine whether they should be treated as insurance contracts and be accounted for under IFRS 17 or whether they should be accounted for under IFRS 9.

Matalan Retail Limited is a member of the Matalan Group and is a joint guarantor of the wider Group's loan indentures issued by another group company, Maryland Bidco Limited. All of the assets of the guarantor group, including all bank accounts within these companies, are secured against these debts.

As the members of the joint guarantor group have provided guarantees over their assets in the event that Maryland Bidco Limited fails to meet its obligations under the terms of the loan note instruments, this arrangement meets the definition of a financial guarantee contract.

With the introduction of IFRS 17 'Insurance Contracts', companies are required to perform a review of any issued financial guarantee contracts and to assess whether they should be accounted for under IFRS 17 or IFRS 9. Based on this assessment, Matalan has elected to account for this financial guarantee contract under IFRS 9 'Financial Instruments'.

Under IFRS 9, the members of the joint guarantor group are required to perform an exercise to assess and calculate any expected credit loss (ECL) in relation to the financial guarantees provided by each joint guarantor against the loan notes issued by Maryland Bidco Limited.

The measurement of ECL is calculated using two main components: probability of default and level of loss in the event of a default. Based on management's assessment, the probability of default has been deemed as trivial. The level of credit risk has not markedly increased since the financial guarantees were issued and the underlying financial instrument is not credit impaired. Management also do not envisage a high level of loss in the event of a default.

Applying the assumptions set out above, the resultant ECL provision that would be required is trivial and therefore no cost in relation to the contract and no ECL provision has been reflected in the financial statements.

2.26 Provisions

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that the Company will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation. The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the end of the reporting period, taking into account the risks and uncertainties surrounding the obligation.

Where a provision is measured using the cash flows estimated to settle the present obligation, its carrying amount is the present value of those cash flows. When some or all of the economic benefits required to settle a provision are expected to be recovered from a third party, a receivable is recognised as an asset if it is virtually certain that reimbursement will be received and the amount of the receivable can be measured reliably.

2. Summary of material accounting policies (continued)

2.27 Right-of-use assets and Lease liabilities

The lease portfolio of the Company is made up of its retail stores, distribution centres and head office, along with a small amount of equipment at the distribution centres. For these leases, the Company recognises a right-of-use asset and a lease liability at the lease commencement date.

The right-of-use asset is measured at cost, comprising the initial measurement of the lease liability and any lease payments made in advance of the lease commencement date (net of incentives received). The right-of-use asset is subsequently depreciated and impaired (as determined by IAS 36) where indicators of impairment exist, adjusted for certain remeasurements of the lease liability.

Depreciation is applied on a straight-line basis, on the same basis as those of property, plant and equipment, from the lease commencement date until the end of the lease term or the end of the useful life of the underlying asset, whichever is earliest. In addition, the right-of-use asset is periodically reviewed for impairment losses, and if any, adjusted for certain remeasurement of the lease liability.

The lease liability is initially recognised at the present value of the lease payments unpaid at that date, discounted using the rate implicit in the lease, or if that rate cannot be readily determined, the Group's incremental borrowing rate. The Company determines its incremental borrowing rate by obtaining interest rates from various external financing sources, and makes certain adjustments to reflect the terms of the lease and type of asset leased.

Lease payments included in the measurement of the lease liability comprise the following:

- Fixed lease payments (including in substance fixed) less any lease incentives;
- Variable payments based on an index or rate;
- Amounts expected to be paid under a residual value guarantee;
- Payments arising from options reasonably certain to be exercised; and
- Penalties for early termination of a lease unless the Group is reasonably certain not to terminate early.

The lease liability is subsequently measured at amortised cost using the effective interest method and reduced by lease payments that are allocated between repayments of principal and finance costs. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, if the Company changes its assessment of whether it will exercise a purchase, extension or termination option or if there is a revised in-substance fixed lease payment.

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset, to the extent that the right-of-use asset is reduced to nil, with any further adjustment required from the remeasurement being recorded in profit or loss.

The IASB defines a lease modification as a change in the scope of a lease (for example, adding or terminating the right to use one or more underlying assets, or extending or shortening the contractual lease term), or the consideration for a lease, that was not part of the original terms and conditions of the lease.

2. Summary of material accounting policies (continued)

2.27 Right-of-use assets and Lease liabilities (continued)

IFRS 16 states that a lease modification is only accounted for as a separate lease when both of the following criteria are met:

a) the modification increases the scope of the lease by adding the right to use one or more underlying assets; and

b) the consideration for the lease increases by an amount commensurate with the stand-alone price for the increase in scope and any appropriate adjustments to that stand-alone price to reflect the circumstances of the particular contract.

Management therefore assess lease variations (regears), lease extensions, and early lease terminations as lease modifications on the basis that there is a clear change in either the scope of the lease, or the total lease consideration. These lease modifications are not accounted for as a separate lease on the basis that only one of the IFRS 16 criteria has been met. In the case of a lease modification in relation to a full lease surrender & new lease, this represents both a change in the scope and consideration of the lease, and as such a separate lease is recognised

The Company has elected not to recognise right-of-use assets and lease liabilities for leases of low-value assets and short-term leases, including IT equipment. The Company recognises lease payments associated with these leases as an expense on a straight-line basis over the lease term

2.28 Pension scheme

The Company operates a defined contribution pension scheme for its employees. A defined contribution plan is a post-employment benefit plan under which the Company pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution pension plans are recognised as an expense in the income statement in the periods during which services are rendered by employees.

3. Financial risk management

3.1 Financial risk factors

The financial risk management of the Company is managed by the Group. The Company's activities expose it to a variety of financial risks: market risk (including foreign exchange risk, fair value interest rate risk and cash flow interest rate risk), credit risk and liquidity risk. The Company's risk management is managed by the Group programme that focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on the Company's financial performance. The Company uses derivative financial instruments to hedge certain risk exposures.

Risk management is carried out by the Company treasury department under policies approved by the board of directors. Company treasury identifies, evaluates and hedges financial risks.

(a) Market risk

(i) Foreign exchange risk

The Company operates internationally and is exposed to foreign exchange risk arising from various currency exposures, primarily with respect to the US dollar.

Group policy requires all group companies to manage their foreign exchange risk against their functional currency. The functional currency of the Company is sterling. The Company is required to substantially hedge its foreign exchange risk exposure with group treasury. To manage its foreign exchange risk arising from future commercial transactions and recognised assets and liabilities, the Company uses forward contracts, transacted with external foreign exchange dealers. Foreign exchange risk arises when future commercial transactions or recognised assets or liabilities are denominated in a currency that is not the entity's functional currency.

The Company hedges future seasons' purchases denominated in US dollars. The group treasury's risk management policy is to hedge forecast purchases up to two and a half years in advance of anticipated cash flows in respect of the purchase of inventory, which is reviewed by management. 100% (2025: 100%) of projected purchases in US dollars qualify as 'highly probable' forecast transactions for hedge accounting purposes. The economic relationship is based on a 1:1 hedge ratio as the underlying risk of the foreign currency contracts are identical to the hedged risk components. The main source of ineffectiveness is due to changes in the dollar payment profiles, or changes in forecast transactions as a result of timing or value.

At 28 February 2026, if sterling had strengthened by 10% against the US dollar with all other variables held constant, post-tax profit would have been £4.2m (2025: £4.4m) higher, mainly as a result of foreign exchange gains on translation of US dollar trade payable amounts compensated by foreign exchange losses on translation of US dollar denominated cash and trade receivable US dollar amounts.

At 28 February 2026, if sterling had weakened by 10% against the US dollar with all other variables held constant, post-tax profit would have been £5.1m (2025: £5.4m) lower, mainly as a result of foreign exchange losses on translation of US dollar trade payable amounts compensated by foreign exchange gains on translation of US dollar denominated cash and trade receivable US dollar amounts.

3. Financial risk management (continued)

3.1 Financial risk factors (continued)

(a) Market risk (continued)
(ii) Cash flow and fair value interest rate risk
As the Company has no significant interest - bearing assets, the Company's income and operating cash flows are substantially independent of changes in market interest rates. The effective rate of interest applicable to the Company's cash balances in the year is 0.84% (2025: 1.68%).

The Company's interest rate risk arises from long-term borrowings of other Group entities, for which Matalan Retail Limited acts as a joint guarantor. The Finance expense in the Company includes an intragroup recharge of £7.4m interest (2025: £7.9m) from Maryland Bidco Limited in relation to a debt instruments subject to variable rates of interest. The interest rate is based upon SONIA and a fixed margin, and the interest rate disclosures in the financial statements reflect the exposure of the Group to the underlying movement in interest rates. Borrowings issued at variable rates expose the Company to cash flow interest rate risk. Borrowings issued at fixed rates expose the Company to fair value interest rate risk. Following the successful recapitalisation exercise, the majority of the Group's long-term borrowings are all fixed rate instruments which significantly reduces the Group's exposure to interest rate risk. However, the £75m New Priority Notes issued as part of this exercise are exposed to variable rates of interest with the rate tied to SONIA.

The impact on profit or loss of a 10 basis-point shift in SONIA with all other variables held constant would be a maximum increase/decrease of £0.1m (2025: £0.1m).

During the 2026 and 2025 fiscal years, the Group's borrowings at fixed and variable rates were denominated in sterling.

Any variation in performance between SONIA would not have a material impact on the financial statements.

(b) Credit risk
Credit risk is managed on a Group basis. Credit risk arises from cash and cash equivalents, derivative financial instruments and deposits with banks and financial institutions, as well as credit exposures to wholesale and retail customers, including outstanding receivables and committed transactions. Banks and financial institutions are approved by the Board on a case by case basis, taking into account credit rating and investment criteria.

If wholesale customers are independently rated, these ratings are used. Otherwise, if there is no independent rating, risk control assesses the credit quality of the customer taking into account its financial position, past experience and other factors. Individual risk limits are set based on internal or external ratings in accordance with limits set by the board. Management monitors the utilisation of credit limits regularly.

Sales to retail customers are settled in cash or using major debit or credit cards (it is company policy not to accept cheques).

The Company's cash and cash equivalents are all held with established high street banks. A summary of the Company's exposure to credit risk for cash and cash equivalents by credit risk rating is presented below:

Credit risk rating	Credit impaired	Not credit-impaired	Impairment
	£'m	£'m	£'m
A+	-	76.4	-

3. Financial risk management (continued)

3.1 Financial risk factors (continued)

(b) Credit risk (continued)
No credit limits were exceeded during the reporting period and management does not expect any losses from non-performance by counterparties. The main counterparties dealt with in the period include Lloyds Bank plc and Barclays Bank plc.

The ageing of receivables has not been disclosed as receivables are not deemed to be material.

Intercompany loans are assessed for expected credit losses under the three-stage expected credit loss model in accordance with IFRS 9. At each reporting date, management evaluates credit risk based on past events, current conditions and reasonable and supportable forecasts affecting collectability. The Group considers all intercompany debts to be fully recoverable and credit risk therefore low. As such, they remain in stage 1 of the ECL model per IFRS 9, and only 12-month expected credit losses are considered

The expected credit loss recognised against these inter-company balances is disclosed below (amounts have been rounded to the nearest £0.1k):

	Expected credit loss £'000
At 23 February 2025	(19.8)
Increase in the year	(337.2)
At 28 February 2026	**(357.0)**

(c) Liquidity risk
Liquidity risk is managed on a Group basis.

Prudent liquidity risk management implies maintaining sufficient cash and availability of funding through an adequate amount of committed credit facilities and the ability to close out market positions.

Due to the dynamic nature of the underlying businesses, group treasury aims to maintain flexibility in funding by maintaining a range of credit lines of varying maturities.

Management monitors rolling forecasts of the Group's liquidity reserve comprising borrowing facilities and cash and cash equivalents (note 15) on the basis of expected cash flow. This is generally carried out at a local level in the operating companies of the Group in accordance with practice and limits set by the Group. In addition, the Group's liquidity management policy involves projecting cash flows in major currencies and considering the level of liquid assets necessary to meet these.

The table below analyses the value of the Company's non-derivative financial instruments into relevant maturity groupings based on the remaining period at the contractual maturity date as at the balance sheet date. Inflows from gains and outflows from losses on these instruments are presented separately. The amount disclosed in the table are the contractual undiscounted cashflows.

3. Financial risk management (continued)

3.1 Financial risk factors (continued)

(c) Liquidity risk (continued)

	Less than 1 month	Between 1 and 3 months	Between 3 months and 1 year	Between 1 and 5 years	Greater than 5 years	Total
	£'m	£'m	£'m	£'m	£'m	£'m
At 22 February 2025						
Trade and other payables	(135.2)	(0.3)	(1.2)	(1.6)	-	(138.3)
Loans from group undertakings	(181.4)	-	-	-	-	(181.4)
Amounts owed to group undertakings	(147.6)	-	-	-	-	(147.6)
Lease liabilities	(8.6)	(17.4)	(74.5)	(306.9)	(179.9)	(587.3)
	(472.8)	**(17.7)**	**(75.7)**	**(308.5)**	**(179.9)**	**(1,054.6)**
At 28 February 2026						
Trade and other payables	(154.6)	(0.3)	(0.3)	-	-	(155.2)
Loans from group undertakings	(286.0)	-	-	-	-	(286.0)
Amounts owed to group undertakings	(15.2)	-	-	-	-	(15.2)
Lease liabilities	(7.7)	(15.2)	(66.5)	(255.1)	(138.5)	(483.0)
	(463.5)	**(15.5)**	**(66.8)**	**(255.1)**	**(138.5)**	**(939.4)**

The table below analyses the Company's derivative financial instruments into relevant maturity groupings based on the remaining period at the balance sheet date to the contractual maturity date. The amounts disclosed in the table are the contractual undiscounted cash flows.

	Less than 1 year	Between 1 and 2 years	Between 2 and 5 years	Over 5 years	Total
	£'m	£'m	£'m	£'m	£'m
At 22 February 2025					
Cash flow hedges:					
Inflows	1.9	1.0	-	-	2.9
Outflows	(1.7)	-	-	-	(1.7)
	0.2	**1.0**	-	-	**1.2**
At 28 February 2026					
Cash flow hedges:					
Inflows	0.3	0.6	-	-	0.9
Outflows	(5.7)	(0.1)	-	-	(5.8)
	(5.4)	**0.5**	-	-	**(4.9)**

At 28 February 2026, the Company held a total of $470.0m of instruments to hedge exposures to changes in foreign currency (2025: $318.0m).

3. Financial risk management (continued)

3.2 Capital risk management

Capital risk is managed on a Group basis. The Company's objectives when managing capital are to safeguard the Group's ability to continue as a going concern in order to provide returns for shareholders and benefits for other stakeholders and to maintain an optimal capital structure to reduce the cost of capital.

Consistent with others in the industry, the Company monitors capital on the basis of a gearing ratio. This ratio is calculated as net debt divided by adjusted total capital. Details of the Group's gearing ratio is included in the consolidated financial statements of Maryland Holdco Limited.

During the financial period, the Company was required to meet specific bank covenants held at a Group level including minimum cash level. The Company has complied with bank covenants throughout the year.

3.3 Fair value estimation

The table below analyses financial instruments carried at fair value or amortised cost. The different levels have been defined as follows:

Level 1 – Quoted prices (unadjusted) in active markets for identical assets or liabilities
Level 2 – Inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly (that is, as prices) or indirectly (that is derived from prices)
Level 3 – Inputs for the asset or liability that are not based on observable market data (that is unobservable inputs)

The fair values of all financial assets and liabilities by class together with their carrying amount shown in the balance sheet are as follows:

Financial assets

	Fair value level 2		Carrying amount	
	2026	2025	**2026**	2025
	£'m	£'m	**£'m**	£'m
Financial assets measured at amortised cost				
Cash and cash equivalents	-	-	**76.4**	85.9
Trade and other receivables	-	-	**16.3**	11.4
Loans owed by group undertakings	-	-	**68.0**	-
Amounts owed by group undertakings	-	-	**3.0**	131.9
	-	-	**163.7**	229.2
Financial assets measured at fair value through profit or loss				
Financial derivatives	**0.9**	2.9	**0.9**	2.9
	0.9	2.9	**0.9**	2.9

3. Financial risk management (continued)

3.3 Fair value estimation (continued)

Financial liabilities

	Fair value level 2		Carrying amount	
	2026 £'m	2025 £'m	**2026 £'m**	2025 £'m
Financial liabilities measured at amortised cost				
Trade and other payables	-	-	**(105.0)**	(77.7)
Accruals	-	-	**(32.5)**	(33.9)
Loans from group undertakings	-	-	**(286.0)**	(181.4)
Amounts owed to group undertakings	-	-	**(15.2)**	(147.6)
Other creditors	-	-	**(4.5)**	(7.5)
	-	-	**(443.2)**	(448.1)
Financial liabilities measured at fair value through profit or loss				
Financial derivatives	**(5.8)**	(1.7)	**(5.8)**	(1.7)
	(5.8)	(1.7)	**(5.8)**	(1.7)

Derivative financial instruments

The fair value of financial instruments that are not traded in an active market (for example, over-the counter derivatives) is determined by using valuation techniques.

The fair value of forward foreign exchange contracts is determined using quoted forward exchange rates at the balance sheet date by reference to contract rate and the market forward exchange rates at the balance sheet date (level 2 fair value estimation).

Trade and other payables and receivables

The fair values of these items are considered to be their carrying value as the impact of discounting future cash flows has been assessed as not material.

Cash and cash equivalents

The fair value of cash and cash equivalents is estimated as its carrying amount where the cash is repayable on demand. Where it is not repayable on demand (such as term deposits), then the fair value is estimated at the present value of future cash flows, discounted at the market rate of interest at the balance sheet date.

Long term and short term borrowings

The fair value of bank loans and other loans approximates their carrying value where they have interest rates based on SONIA. The intercompany balances are unsecured, interest bearing and repayable upon demand.

4. Operating profit

	2026 £'m	2025 £'m
Revenue	**986.5**	984.6
Total revenue	**986.5**	984.6
Cost of goods sold	**(448.7)**	(475.4)
Selling expenses – pre exceptional items	**(335.4)**	(340.4)
Exceptional items – selling expenses	**(3.6)**	(6.6)
Distribution expenses	**(74.5)**	(61.3)
Total cost of sales	**(862.2)**	(883.7)
Gross profit	**124.3**	100.9
Administrative expenses – pre exceptional items	**(71.2)**	(68.2)
Exceptional items – administrative expenses	**(5.7)**	(2.2)
Total administrative expenses	**(76.9)**	(70.4)
Operating profit	**47.4**	30.5

The revenue analysis by geographic area for the 53 weeks ended 28 February 2026 is as follows:

	2026 £'m	2025 £'m
United Kingdom	**967.6**	962.7
Rest of the World	**18.9**	21.9

The performance of the Company is subject to seasonal peaks. The Company traditionally performs well during the late spring and early summer and over the Christmas season.

Further details of exceptional items above are included in note 28.

5. Net finance costs

	2026 £'m	2025 £'m
Finance costs and similar charges:		
Interest on loans and notes, net of amortisation of finance costs, recharged by other group companies	**(45.0)**	(40.9)
Other interest payable	**(0.4)**	(0.6)
Exceptional finance costs	**(1.1)**	-
IFRS 16 interest charge	**(38.3)**	(36.3)
Finance costs	**(84.8)**	(77.8)
Finance income:		
Interest receivable	**1.1**	1.5
Gain on ineffective forward contracts	**-**	0.4
Finance income	**1.1**	1.9
Net finance costs	**(83.7)**	(75.9)

For finance costs, in the period there are £8.1m (2025: £4.9m) of ordinary non-cash items and £nil (2025: £nil) of exceptional non-cash items included in the balance. For finance income there are £nil non-cash items included in the balance (2025: £0.4m).

6. Directors' emoluments

The remuneration paid to the directors of Matalan Retail Limited was:

	2026 £'m	2025 £'m
Aggregate emoluments (including benefits in kind)	**1.9**	2.0
Termination benefits	**-**	0.3
	1.9	2.3

One director accrued £0.3k (2025 two directors accrued £3k) in defined contribution pension schemes during the year.

Amounts paid to the highest paid director:

	2026 £'m	2025 £'m
Short term employee benefits	**0.9**	0.8
	0.9	0.8

7. Employee information

The average number of persons (including executive directors) employed during the period was:

	2026 Number	2025 Number
By function		
Selling and distribution	**8,901**	9,601
Administration	**692**	676
	9,593	10,277

	2026 £'m	2025 £'m
Staff costs (for the above persons)		
Wages and salaries	**168.6**	164.4
Social security costs	**15.9**	11.0
Other pension costs	**2.3**	2.3
Termination payments	**1.8**	1.4
	188.6	179.1

The Company operates a defined contribution pension scheme for its employees.

8. EBITDA ("Non-GAAP Measure")

The Board relies primarily on pre IFRS 16 EBITDA before exceptional items to assess the performance of the Company. Pre IFRS 16 EBITDA before exceptional items for the period was a profit of £66.5m (2025: £53.7m). This can be reconciled to statutory operating profit as follows:

	2026 (under IFRS 16) £'m	2025 (under IFRS 16) £'m
Operating profit	**47.4**	30.5
Depreciation and amortisation	**99.8**	107.0
Exceptional items	**9.3**	8.8
EBITDA before exceptional items	**156.5**	146.3

Reconciliation to IAS 17 EBITDA (Non-GAAP measure and disclosure)

EBITDA pre exceptionals under IFRS 16	**156.5**	146.3
Increase in cost of sales	**(87.3)**	(90.2)
Increase in administrative expenses	**(2.7)**	(2.4)
EBITDA pre exceptionals under IAS 17	**66.5**	53.7

The Company utilises IAS 17 EBITDA to assist investor understanding of trading performance. IAS 17 EBITDA is arrived at by taking IFRS 16 EBITDA and adding back IAS 17 operating lease charges.

9. Loss before income tax

	2026 £'m	2025 £'m
Loss before income tax is stated after charging:		
Cost of inventories recognised as an expense (included in cost of sales)	**449.1**	475.3
Depreciation charge for the period on property, plant and equipment and right-of-use assets	**91.9**	97.1
Amortisation of intangible assets	**7.9**	9.9
Exceptional items (note 28)	**10.4**	8.8
Net foreign exchange (gains)/losses	**(0.4)**	0.1
Fees payable to the Company's Auditor:		
for the audit of Matalan Retail Limited and its financial statements	**0.8**	0.7
for other non-audit services	**-**	-

10. Income tax expense

Analysis of expense in the period

	2026 £'m	2025 £'m
Current income tax		
UK corporation tax – current year	-	-
UK corporation tax – prior year	-	-
	-	-
Deferred income tax		
Origination and reversal of temporary differences	**(8.7)**	(5.2)
Effect of change in income tax rates	-	-
Adjustment in respect of prior periods	**0.6**	(0.7)
	(8.1)	(5.9)
Total income tax credit	**(8.1)**	(5.9)

The income tax credit for the period is lower than (2025: lower than) the standard rate of corporation tax in the UK of 25.0% (2025: 25.0%). The deferred tax asset at 28 February 2026 has been calculated based on 25% (2025: 25%).

	2026 £'m	2025 £'m
Loss before income tax	**(36.3)**	(45.4)
Loss before tax multiplied by the standard rate of corporation tax in the UK of 25% (2025: 25.0%)	**(9.1)**	(11.3)
Effects of:		
Non-deductible expenses	**7.3**	7.2
Group relief claimed	**(5.4)**	(3.6)
Deferred tax not provided	**(1.5)**	2.5
Adjustments to tax in respect of prior periods	**0.6**	(0.7)
Total income tax credit	**(8.1)**	(5.9)

10. Income tax expense (continued)

Deferred income tax

Deferred income tax is calculated in full on temporary differences on assets and liabilities using a tax rate of 25% (2025: 25%).

The movement on the deferred income tax account is shown below:

	2026 £'m	2025 £'m
At the beginning of the period	**25.5**	22.3
Taken to other comprehensive expenditure:		
- hedge reserve	**1.4**	(2.7)
Taken to income statement:		
- prior year movements	**(0.6)**	0.7
- depreciation in advance of capital allowances	**7.2**	7.7
- temporary timing differences	**-**	-
- deferred tax not provided	**1.5**	(2.5)
- change in the rate of tax	**-**	-
At the end of the period	**35.0**	25.5

Deferred income tax assets and liabilities are all expected to be recoverable or payable after more than one year and are attributable to the following:

	Assets		**Liabilities**		**Total**	
	2026 £'m	2025 £'m	**2026 £'m**	2025 £'m	**2026 £'m**	2025 £'m
Property, plant and equipment	**26.6**	19.8	**-**	-	**26.6**	19.8
Short term timing differences	**7.4**	6.1	**-**	-	**7.4**	6.1
Financial derivatives	**1.0**	-	**-**	(0.4)	**1.0**	(0.4)
Net deferred income tax assets	**35.0**	25.9	**-**	(0.4)	**35.0**	25.5

10. Income tax expense (continued)

Deferred income tax assets/ (liabilities)

The movement in deferred income tax assets and liabilities during the period, without taking into consideration the offsetting of balances within the same tax jurisdiction, is as follows:

	Accelerated tax depreciation £'m	Short term timing differences £'m	Financial derivatives £'m	Total £'m
At 24 February 2024	11.8	8.2	2.3	22.3
Credited to the income statement	8.0	(2.1)	-	5.9
Taken directly to other comprehensive income	-	-	(2.7)	(2.7)
At 22 February 2025	19.8	6.1	(0.4)	25.5
At 23 February 2025	19.8	6.1	(0.4)	25.5
Credited to the income statement	6.8	1.3	-	8.1
Taken directly to other comprehensive income	-	-	1.4	1.4
At 28 February 2026	**26.6**	**7.4**	**1.0**	**35.0**

The directors consider it probable that there will be sufficient taxable profits in the future such as to recognise the deferred income tax asset. The Company had an unrecognised deferred income tax asset of £19.8m (2025: £21.3m) at the end of the period attributable to tax losses calculated using a tax rate of 25%.

11. Property, plant and equipment

	Alterations to leasehold premises £'m	Motor vehicles £'m	Fixtures, fittings and IT hardware £'m	Assets under construction £'m	Total £'m
Cost					
At 25 February 2024	284.8	0.8	328.8	0.7	615.1
Additions	5.9	0.2	6.4	2.5	15.0
Transfers	-	-	1.7	(1.7)	-
Disposals	(59.2)	(0.2)	(237.0)	-	(296.4)
At 22 February 2025	231.5	0.8	99.9	1.5	333.7
At 23 February 2025	231.5	0.8	99.9	1.5	333.7
Additions	13.0	0.2	11.1	10.6	34.9
Transfers	0.7	-	0.8	(1.5)	-
At 28 February 2026	**245.2**	**1.0**	**111.8**	**10.6**	**368.6**
Accumulated depreciation					
At 25 February 2024	175.1	0.3	283.9	-	459.3
Charge for the period	26.6	0.1	13.1	-	39.8
Impairment	1.1	-	-	-	1.1
Disposals	(59.2)	(0.2)	(237.0)	-	(296.4)
At 22 February 2025	143.6	0.2	60.0	-	203.8
At 23 February 2025	143.6	0.2	60.0	-	203.8
Charge for the period	26.5	0.1	11.4	-	38.0
Impairment	0.4	-	0.3	-	0.7
At 28 February 2026	**170.5**	**0.3**	**71.7**	**-**	**242.5**
Net book value					
At 28 February 2026	**74.7**	**0.7**	**40.1**	**10.6**	**126.1**
Net book value					
At 22 February 2025	87.9	0.6	39.9	1.5	129.9
Net book value					
At 24 February 2024	109.7	0.5	44.9	0.7	155.8

Depreciation of property, plant and equipment is charged to cost of sales and administrative expenses in the income statement.

For purchase of property, plant and equipment, in the period there are £0.6m (2025: £1.3m) of non-cash items included in the balance.

Regarding the impairment, please refer to note 28 for further details.

12. Intangible assets

	Brands	Computer software and associated costs	Assets under construction	Total
	£'m	£'m	£'m	£'m
Cost				
At 25 February 2024	4.7	183.9	1.6	190.2
Additions	-	2.4	2.7	5.1
Transfers	-	1.6	(1.6)	-
At 22 February 2025	4.7	187.9	2.7	195.3
At 23 February 2025	4.7	187.9	2.7	195.3
Additions	-	2.9	8.5	11.4
Transfers	-	2.7	(2.7)	-
At 28 February 2026	**4.7**	**193.5**	**8.5**	**206.7**
Aggregate amortisation				
At 25 February 2024	4.7	155.7	-	160.4
Charge for the period	-	9.9	-	9.9
At 22 February 2025	4.7	165.6	-	170.3
At 23 February 2025	4.7	165.6	-	170.3
Charge for the period	-	7.9	-	7.9
Impairment	-	0.1	-	0.1
At 26 February 2026	**4.7**	**173.6**	**-**	**178.3**
Net book value				
At 28 February 2026	**-**	**19.9**	**8.5**	**28.4**
Net book value				
At 22 February 2025	-	22.3	2.7	25.0
Net book value				
At 24 February 2024	-	28.2	1.6	29.8

Amortisation in respect of online platform development costs is charged to cost of sales in the income statement. Amortisation of all other intangible assets is charged to administrative expenses.

The brand intangible asset has no years left of amortisation. On average, the computer software and associated costs have 2 years remaining of the amortisation period.

For purchase of intangible assets, in the period there are £0.1m (2025: £1.7m) of non-cash items included in the balance due to the timing of capital payments.

Regarding the impairment, please refer to note 28 for further details.

13. Inventories

	2026 £'m	2025 £'m
Finished goods	**128.5**	115.4

The cost of inventories recognised as an expense and included in 'cost of sales' amounted to £449.1m (2025: £475.3m).

Finished goods stock is stated net of provisions. At 28 February 2026, the net realisable value inventory provision amounted to £6.2m (2025: £6.6m). The inventory provision is calculated by reference to the age of the Stock Keeping Units ("SKU") and the length of time it is expected to take to sell. The provisions applied in calculating the provision are as follows;

- Discontinued stock greater than 180 days: 100%
- Old season transitional stock: 31%
- Current season stock: 35%
- Current season transitional stock: 12%
- Next season and core stock: 0%

In addition, a provision is held to account for stock losses during the period since when the SKU was last counted.

The value of inventory against which an ageing provision is held is £9.4m (2025: £10.1m).

During the period the Company has charged £(6.9)m (2025: (12.5)m) to the income statement in relation to inventories written off and provided against.

14. Trade and other receivables

	2026 £'m	2025 £'m
Amounts owed by group undertakings	**3.0**	131.9
Trade receivables	**16.3**	11.4
Prepayments and accrued income	**21.0**	20.4
	40.3	163.7

15. Cash and cash equivalents

	2026 £'m	2025 £'m
Cash at bank and in hand	**76.4**	85.9

The Company's cash and cash equivalents are denominated in Sterling, US dollars and Euros.

16. Loans to group undertakings

	2026 £'m	2025 £'m
Amounts owed by group undertakings	**68.0**	-
	68.0	-

17. Financial liabilities – borrowings

Loans from group undertakings

	2026 £'m	2025 £'m
Amounts owed to group undertakings	**(286.0)**	(181.4)
	(286.0)	(181.4)

Intercompany balances are unsecured, interest bearing and repayable upon demand.

Borrowing facilities

The Matalan Group holds an £8.0m cash collateralised ancillary facility which it has negotiated with its bankers. These facilities are held within Matalan AF Limited for the benefit of Matalan Retail Limited with the cash collateral associated with this ancillary facility reflected as restricted cash and cash equivalents within the Matalan AF Limited financial statements and presented within inter-company within the Matalan Retail Limited financial statements. These facilities are subject to an annual review and incur fees at market rates. At 28 February 2026, the table below reflects the usage of the AF (ancillary facility):

	2026 £'m	2025 £'m
Letters of credit	-	-
Guarantees	**3.3**	3.3
Unused	**4.7**	4.7
Total	**8.0**	8.0

An unlimited guarantee under a composite accounting agreement operates for all Group company bank accounts. Group bank facilities are secured by fixed and floating charges on the assets of the guarantor group. Notes in issue are guaranteed by the assets of the guarantor group.

18. Derivative financial instruments

	2026		2025	
	Assets £'m	**Liabilities £'m**	Assets £'m	Liabilities £'m
Forward foreign exchange contracts	**0.9**	**(5.8)**	2.9	(1.7)
Total	**0.9**	**(5.8)**	2.9	(1.7)
Less non-current portion:				
Forward foreign exchange contracts	**0.6**	**(0.1)**	1.0	-
Non-current portion	**0.6**	**(0.1)**	1.0	-
Current portion	**0.3**	**(5.7)**	1.9	(1.7)

The amount that was recognised in the Statement of Comprehensive Expenditure during the period net of tax was £(4.1)m (2025: £8.0m). The amount that was transferred from equity to profit and loss in the period was £nil (2025: £nil). The ineffective portion recognised in the Income Statement that arises from cash flow hedges amounts to £nil (2025: £0.4m).

Forward foreign exchange contracts

The total principal value of forward foreign exchange contracts at 28 February 2026 was $470.0m (2025: $318.0m). The total principal value of forward foreign exchange contracts due to mature, converted into Pound Sterling at the contract rate, is as follows:

	2026 £'m	2025 £'m
Maturing within one year	**281.0**	227.8
Maturing between one to two years	**72.7**	22.8
	353.7	250.6

The net fair value of losses as at 28 February 2026 on open forward foreign exchange contracts that hedge the foreign currency risk of purchases are £(4.9)m (2025: £1.2m gains). These are transferred at their current fair value as an inventory-based adjustment on receipt of the underlying inventory.

The fair value of open forward foreign exchange contracts is due to mature as follows:

	2026 £'m	2025 £'m
Maturing within one year	**(5.4)**	0.2
Maturing between one to two years	**0.5**	1.0
	(4.9)	1.2

19. Trade and other payables

	2026 £'m	2025 £'m
Trade payables	**(105.0)**	(77.7)
Other tax and social security payable	**(13.2)**	(19.2)
Amounts owed to group undertakings	**(15.2)**	(147.6)
Other creditors	**(4.5)**	(7.5)
Accruals	**(32.5)**	(33.9)
	(170.4)	(285.9)

	2026 £'m	2025 £'m
Current	**(170.4)**	(284.3)
Non-current	**-**	(1.6)
	(170.4)	(285.9)

The non-current liability in the prior period represents capital financing for environmentally sustainable store improvements, including LED lighting.

20. Provisions for other liabilities and charges

	Other Provisions £'m	Dilapidations £'m	Total £'m
At 23 February 2025	(0.7)	(4.1)	(4.8)
Charged in the year	(0.6)	(1.9)	(2.5)
Released in the year	0.8	-	0.8
At 28 February 2026	**(0.5)**	**(6.0)**	**(6.5)**

	2026 £'m	2025 £'m
Analysis of total provisions:		
Current	**(0.5)**	(0.7)
Non-current	**(6.0)**	(4.1)
	(6.5)	(4.8)

The dilapidation represents the liability required at the end of the lease to restore the property to its original condition at commencement of the lease. The provision is calculated using historic dilapidations occurred on store closures and applying it to the current estate, taking into consideration expected future estate closures, inclusive of any lease extensions. This provision will unwind over the average lease length of 10 years.

21. Share capital and reserves

Ordinary share capital

	2026 £	2025 £
Issued and fully paid		
1,000 (2025: 1,000) ordinary shares of £1 each	**1,000**	1,000

Rights, preferences and restrictions

The shares of Matalan Retail Limited consist of one class of ordinary shares of which Matalan Limited is 100% owner.

22. Hedge reserve

The hedging reserve comprises all changes in the value of derivatives to the extent that they are an effective cash flow hedges, net of amounts recycled from the hedging reserve on occurrence of the hedged transaction or when the hedged transaction is no longer expected to occur.

23. Cash flows from operating activities

Reconciliation of operating profit to net cash inflow from operating activities:

	Note	2026 £'m	2025 £'m
Cash generated from operations:			
Loss for the year		**(28.2)**	(39.5)
Adjustments for:			
Tax	10	**(8.1)**	(5.9)
Finance cost	5	**83.7**	77.8
Finance income	5	**(1.1)**	(1.9)
Exceptional finance costs	5	**1.1**	-
Depreciation	11, 25	**91.9**	97.1
Amortisation of intangibles	12	**7.9**	9.9
Impairment of loss-making stores	25, 28	**2.8**	5.5
Impairment of PPE in closed stores	11, 28	**0.7**	1.1
Impairment of intangible assets in closed stores	12.28	**0.1**	-
Inventory write-offs	13	**6.9**	12.5
Adjustment for inventory provision	13	**0.4**	-
Adjustment for provisions	20	**1.7**	(2.7)
Hedge accounting		**-**	-
Operating cash flows before movements in working capital		**159.8**	153.9
Movements in working capital:			
Increase in inventories		**(21.2)**	(22.2)
Decrease/ (increase) in trade and other receivables		**55.4**	(34.7)
(Decrease) /increase in trade and other payables		**(42.2)**	17.1
Net cash flows from operating activities		**151.8**	114.1

24. Reconciliation of debt

	2026			2025		
	Loans from group undertakings	**Lease liabilities**	**Total**	Loans from group undertakings	Lease liabilities	Total
	£'m	**£'m**	**£'m**	£'m	£'m	£'m
Opening balance	**(181.4)**	**(364.9)**	**(546.3)**	(176.9)	(384.4)	(561.3)
Repayment of lease liabilities	**-**	**61.2**	**61.2**	-	62.3	62.3
Interest paid	**37.2**	**38.4**	**75.6**	36.4	36.5	72.9
Repayment of borrowings	**3.7**	-	**3.7**	-	-	-
Receipt of loan from group undertakings	**(25.0)**	-	**(25.0)**	-	-	-
Reclassification from Payables to Borrowings	**(75.5)**	-	**(75.5)**	-	-	-
Interest expense	**(45.0)**	**(38.3)**	**(83.3)**	(40.9)	(36.3)	(77.2)
Lease modifications and additions	**-**	**(38.2)**	**(38.2)**	-	(43.0)	(43.0)
Closing balance	**(286.0)**	**(341.8)**	**(627.8)**	(181.4)	(364.9)	(546.3)

Repayments on lease liabilities, interest paid and repayment of borrowings are cash flows. Interest payments are included within the repayment of lease liabilities.

During the current financial period, the Group undertook a rationalisation exercise to simplify the intercompany balances, leading to a reclassification of the intercompany balance from payables to borrowings, with no change to the net intercompany balance owed by Matalan Retail Limited and no impact to the Income Statement of the Company.

25. Leases

a. Right of use assets

	Note	Stores	Warehouse and Other	Total
		£'m	£'m	£'m
Cost				
At 23 February 2025		585.9	75.6	661.5
Additions		1.3	1.1	2.4
Modifications		38.5	-	38.5
Disposals		(1.5)	-	(1.5)
At 28 February 2026		**624.2**	**76.7**	**700.9**
Accumulated depreciation				
At 23 February 2025		375.7	29.7	405.4
Charge for the period		48.5	5.4	53.9
Impairment	28	2.8	-	2.8
Disposals		(1.5)	-	(1.5)
At 28 February 2026		**425.5**	**35.1**	**460.6**
Net book value				
At 28 February 2026		**198.7**	**41.6**	**240.3**
Net book value				
At 23 February 2025		**210.2**	**45.9**	**256.1**

The Company's leases are primarily the UK retail stores and distribution centres out of which the Matalan Group operates. The lease portfolio includes only one lease that is subject to variable lease payments dependent on a non-index linked metric. Such variable lease uplifts should only be recognised when the qualifying conditions occur. As the conditions which trigger this uplift have not been met, the variable uplift has not been recognised.

The modifications relate to rental regears negotiated during the financial period.

b. Lease liabilities

The following amounts have been recognised in profit or loss for which the Company is a lessee:

Year ended 28 February 2026 - Leases under IFRS 16	**2026 £'m**
Interest on lease liabilities	**38.4**
Income from sub-leasing right-of-use assets presented within interest	**(0.1)**

Year ended 22 February 2025 - Leases under IFRS 16	**2025 £'m**
Interest on lease liabilities	**36.4**
Income from sub leasing right of use assets presented with interest	**(0.1)**

25. Leases (continued)

b. Lease liabilities (continued)

Amounts recognised in statement of cash flows	2026 £'m
Interest paid in respect of lease liabilities	**38.4**
Repayment of lease liabilities	**61.2**

c. Maturity analysis of leases

The following are the remaining contractual maturities at the reporting date. The amounts are gross and undiscounted, and include contractual interest payments.

2026 Lease liabilities

	2026 £'m
Within one year	**89.4**
Between one and two years	**97.9**
Between two to five years	**157.2**
Over five years	**138.5**
Total	**483.0**

2025 Lease liabilities

	2025 £'m
Within one year	100.5
Between one and two years	116.5
Between two to five years	190.4
Over five years	179.9
Total	587.3

Set out below are the carrying amounts of lease liabilities:

	2026 £'m	Restated 2025 £'m
Current	**(84.0)**	(90.2)
Non-current	**(257.8)**	(274.7)
	(341.8)	(364.9)

For the prior financial period to 22 February 2025, the lease liability split was re-assessed and £23.9m was reclassified from non-current to current.

26. Capital commitments

The capital expenditure for the Company that has been contracted for but not provided at 28 February 2026 was £5.1m (2025: £7.3m).

27. Related party transactions

The Company has a related party relationship with other Group undertakings, its parent company and with its directors and executive officers. During the financial period the Company entered into transactions, in the ordinary course of business, with other related parties as follows:

	2026 £'m	2025 £'m
Transactions with fellow group undertakings in the year:		
Funds provided	**54.0**	83.4
Funds borrowed	**(21.3)**	-
Interest payable	**(45.0)**	(40.9)
Operating expenses	**(20.8)**	(19.2)
	(33.1)	23.3
Amounts owed to parent	**(75.5)**	(135.4)
Amounts owed to group undertakings	**(225.7)**	(65.7)
Amounts due from group undertakings	**71.0**	4.0

The Company has entered into a cash pooling arrangement with other group companies. Net liabilities settled by the Company on behalf of Group companies under the cash pooling arrangement were:

	2026 £'m	2025 £'m
Transactions with other group companies:		
Operating expenses paid by other group companies	**20.8**	19.2
Capital expenditure	**-**	-
Borrowing costs paid on behalf of other group companies	**-**	-
Interest payments made on behalf of other group companies	**37.2**	36.4

Following the strategic sales process in FY23, the shareholder group is led by a variety of corporate shareholders and investment funds, with no one party or fund owning more than 25% of the share capital.

Key management is the directors of the Company. The compensation paid or payable to key management for employee services is included in note 6, total compensation paid with regards to the directors of Matalan Retail Limited for the period ended 28 February 2026 was £2.1m (2025: £2.5m), these figures are inclusive of employer National Insurance. At the reporting date, the shareholders of the Group controlled 100% of the voting shares of the Company.

During the financial period, key management personnel employed by the company including directors and executive officers were invited to subscribe for 1,538,400 B, C and D ordinary shares in the company's ultimate parent undertaking, Maryland Holdco Limited, for aggregate consideration of £66,152 under the management incentive scheme. All three new classes of shares hold no voting rights, no right to dividend payments and only generate value for the holders of these shares on an exit. Participants are required to remain in employment at the relevant exit date to benefit. No employee compensation in relation to this scheme has been recognised in the company's income statement in the current year.

28. Exceptional items

Exceptional items are comprised as follows:

	2026 £'m	2025 £'m
Impairment of stores	(2.8)	(5.5)
Impairment of Property, Plant and Equipment in closed stores	(0.7)	(1.1)
Impairment of intangible assets in closed stores	(0.1)	-
Exceptional items – cost of sales	(3.6)	(6.6)
Restructuring costs	(2.1)	(1.5)
Dual running costs	(0.9)	-
SaaS implementation costs	(2.7)	(0.7)
Exceptional items – administrative expenses	(5.7)	(2.2)
Finance expenses	(1.1)	-
Exceptional items – net finance expenses	(1.1)	-
Total exceptional items	(10.4)	(8.8)

Impairment of stores
During the 53 weeks ended 28 February 2026, the carrying value of the right-of-use asset was impaired by £2.8m (2025: £5.5m) after a full CGU impairment assessment of the store portfolio. Based upon the review management deemed it necessary to impair the right-of-use assets on a number of stores where the value in use of these stores over their remaining lease life was deemed insufficient to cover the remaining carrying value of the store assets.

Impairment of property, plant and equipment
During the 53 weeks ended 28 February 2026, property, plant and equipment with a carrying value of £0.7m (2025: £1.1m) relating to a number of stores either closed during FY26 or marked for closure in FY27 were impaired by the Company as management have deemed that the Company will not derive any future financial benefit from these assets.

Impairment of intangible assets
During the 53 weeks ended 28 February 2026, intangible assets with a carrying value of £0.1m (2025: £nil) relating to a number of stores either closed during FY26 or marked for closure in FY27 were impaired by the Company as management have deemed that the Group will not derive any future financial benefit from these assets.

Restructuring costs
Following a number of employment contracts being terminated in the period, restructuring costs of £2.1m (2025: £1.5m) have been incurred in the 53 weeks ended 28 February 2026.

Dual running costs
During the 53 weeks ended 28 February 2026, the Company incurred costs of £0.9m (2025: £nil) associated with the dual running costs of the warehouse management system as it transitions to a new operating model, due to the need for the availability of the new model for testing purposes during the implementation phase.

28. Exceptional items (continued)

SaaS implementation costs
During the 53 weeks ended 28 February 2026, the Company incurred costs related to the ongoing transition of the warehouse management system to a SaaS operating model of £2.7m (2025: £0.7m).

Finance expenses
During the 53 weeks ended 28 February 2026, the Company incurred exceptional finance costs in relation to the drawdown of the Super Senior Notes (Tranche 3) facility and amendments made to the loan note indentures of £1.1m (2025: £nil).

29. Ultimate parent company

The directors regard Matalan Limited, a company registered in England and Wales, as the immediate parent company. According to the register kept by the Company, Matalan Limited has a 100% interest in the equity capital of Matalan Retail Ltd at 28 February 2026. The company's registered address is Matalan Limited, Perimeter Road, Knowsley Industrial Park, Liverpool, L33 7SZ.

As part of the strategic sales process, Maryland Bidco Limited, an indirect subsidiary of Maryland Holdco Limited, acquired the entire share capital of Matalan Finance Plc on 26 January 2023. From that date, Maryland Holdco Limited, a company registered in Jersey, became the ultimate parent company. The new shareholder group is led by a variety of corporate shareholders and investment funds, with no one party or fund owning more than 25% of the share capital. The company's registered address is Maryland Holdco Limited, 4th Floor, St Paul's Gate, 22-24 New Street, St Helier, Jersey, JE1 4TR.

Maryland Holdco Limited is the parent undertaking of the largest and smallest group of undertakings to consolidate these financial statements at 28 February 2026, with the results for Matalan Retail Limited post its acquisition by the Maryland Holdco Limited Group on 26 January 2023 incorporated within the consolidated results. The consolidated financial statements of Maryland Holdco Limited are available from Matalan, Perimeter Road, Knowsley Industrial Park, Liverpool, L33 7SZ.

30. Restated accounts

The directors have reassessed the classification of lease liabilities, leading to a restatement in the statement of financial position for the year ended 22 February 2025. The comparatives for lease liabilities - non-current and lease liabilities - current have been restated to present the full discounted lease payments payable within 12 months as short-term liabilities. This has resulted in an increase in lease liabilities - current from £66.3m to £90.2m, while lease liabilities - non-current have decreased from £298.6m to £274.7m. The restatement does not affect the income statement or cash flow statement for the period ended 22 February 2025. This change reflects a correction to the previous classification approach to ensure lease liabilities due within 12 months are appropriately presented as current liabilities.